

make continuation or reversal sense, it is most useful to be prepared for both scenarios. To this end, we will develop two simple protocols in order to establish some general guidelines.

This section is focused on intraday trading, although the underlying idea is equally valid for application to any other time frame.

PROTOCOL TO FAVOR THE REVERSAL

1. **VPOC migration.** If the preceding trend movement is healthy, after the migration of the VPOC we want to see a new momentum develop without consuming too much time.

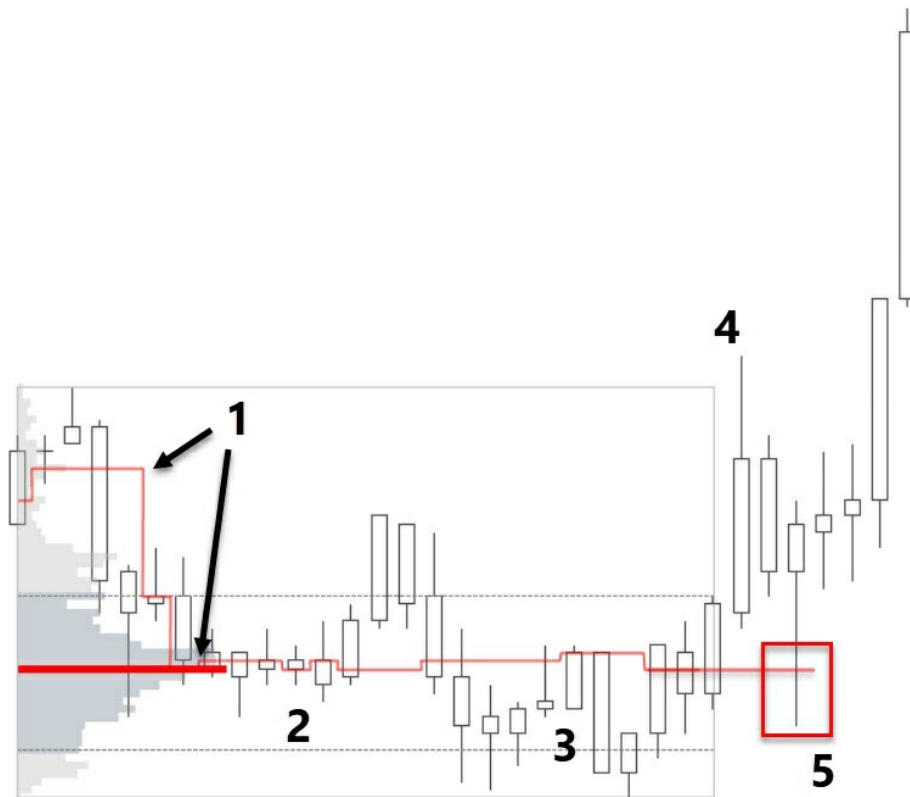
2. **Non-continuity.** If after the VPOC migration the price does not have the ability to continue to move in the direction of the preceding trend we would be in a position to at least begin to question the continuity of the move.

3. **Time consumption.** This is a fundamental footprint. The general rule of thumb is that the longer the price goes without continuing in favor of the preceding trend movement after the VPOC migration, the more likely a market turn rather than a continuation is likely to occur. If we want to look for the turn we will mainly observe that it starts to sideways consume a relatively large amount of time relative to what it was doing previously during continuations.

4. **The change of character.** If migration occurs, an excessive lateralization without the ability to continue in the direction it had and in addition now appears an impulsive movement in the opposite

direction we will be in disposition to raise an operative idea in reversion.

5. **Operative idea.** The first operative level that we will take into account to wait for the price and look for the entry trigger will be the end of the broken value zone. If it breaks below, we will wait at the VAL and if it breaks above, at the VAH. As a second level, the VPOC.

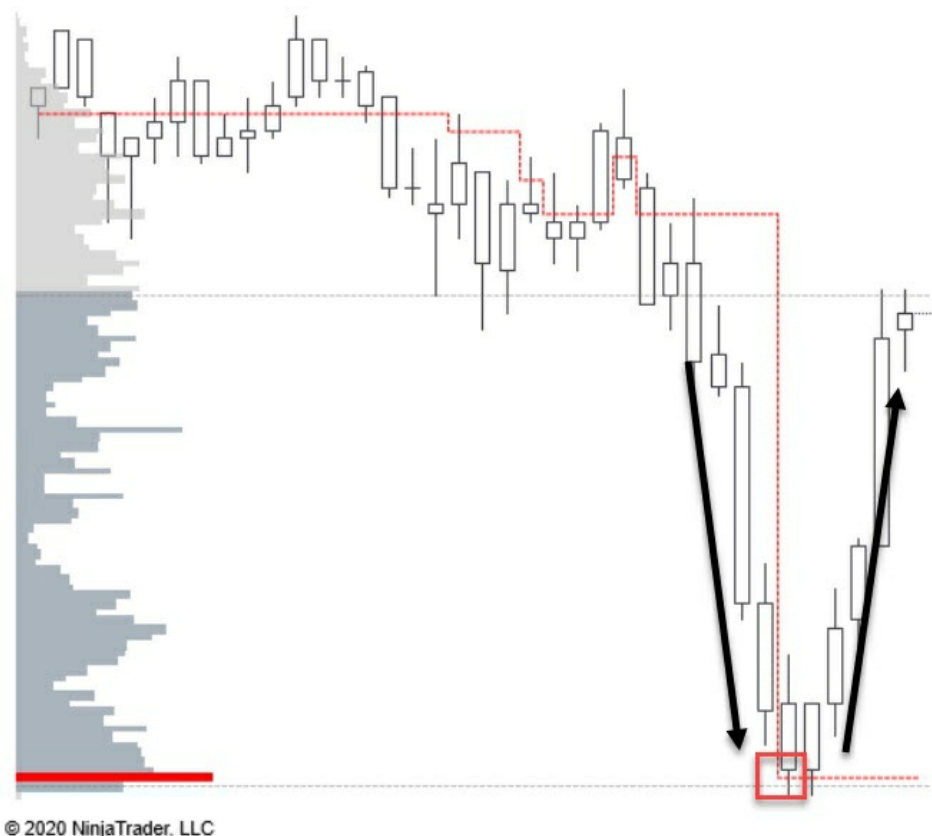


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In this example (Intraday reversal trade with pattern b) we have pulled a manual profile to see how the volume was distributed at that particular moment. We see that after starting the session the price falls and migrates the VPOC (1), then begins to rotate on it showing the non-continuity (2) and time consumption (3). Then comes the change of character with the upward imbalance (4) to finally go to test the old

VPOC zone (5), where we could be looking for the long entry.

We have to keep in mind that if we are trading with the profile of a current session it will continue to develop as the day progresses so that after the breakout, we may identify the level of the Value Area where we will wait for the price and then change its location. Although it is true that it would not be the ideal context, the same trading area could be maintained since from a logical point of view this is still a node of low volume and therefore an interesting area of potential rejection of the price. In addition, what the price is going to test is the previous accumulation/distribution zone, so leaving the profile of the range is totally advisable.



In this example we see what would be a VPOC migration with a reversal direction (we know this after seeing the subsequent movement)

but which does not follow the proposed protocol. When they do it with this urgency, with little preparation, it is practically impossible to operate. This is the problem with these V-turns.

The incorporation of this example is intended to point out that not all migrations with reversal direction will follow the proposed protocol, far from it. With this series of steps what we are trying to do is to objectify the turn and that it is based on the Law of Cause and Effect, since again this protocol does not cease to be cumulative/distributive processes.

In addition, it is a very interesting graph to deal with the concept of acceptance and rejection. By definition, a VPOC migration suggests new acceptance at those price levels. The objective fact at that precise moment is that more contracts have been traded (more acceptance) and therefore the migration has occurred. But what reading would it leave if it generates a total reversal of the movement? Well, again, objectively, what we see is that if the session finally closes away from those levels, such action remains as a rejection even if that migration has occurred.

The importance of the principle that every price action must be confirmed or rejected by the subsequent action appears again. In this case the first action has been the migration of the VPOC, but that change in value has been rejected by the subsequent reaction, which has reversed the entire movement.

If we recall, a change in the perception of value occurs when the variables Price, Time and Volume work in consonance. In this case we have the Price discovery movement, the Volume generation but the Time consumption that would confirm the Value fails.

PROTOCOL TO FAVOR THE CONTINUATION:

For intraday continuation trading the action protocol is much simpler:

1. **VPOC Migration.** Generally when the market intends to continue in the direction of the preceding movement, after the migration of the VPOC the price will start the new momentum with some speed. The urgency to continue moving in that direction will cause relatively little time to be consumed before continuing in that direction.

2. **Trigger search.** We are therefore ready to enter the market. It is simply a matter of waiting for our setup to appear before entering.



In the example we see that on the third VPOC migration the price instead of continuing upward reverses downward leaving that price action on the left as distributive. Thereafter the subsequent migrations make continuation sense as they are followed by bearish impulses with relative alacrity.

Although this type of trade has been presented on an intraday basis, during the course of a session; it may appear on the chart at different times and the underlying idea will remain the same. It may develop over the course of a single session, form over more than one session, or even develop as a longer-term structure. Regardless of its duration, the underlying logic is exactly the same.

5.7.5 CALIBRATION OF POSITION MANAGEMENT

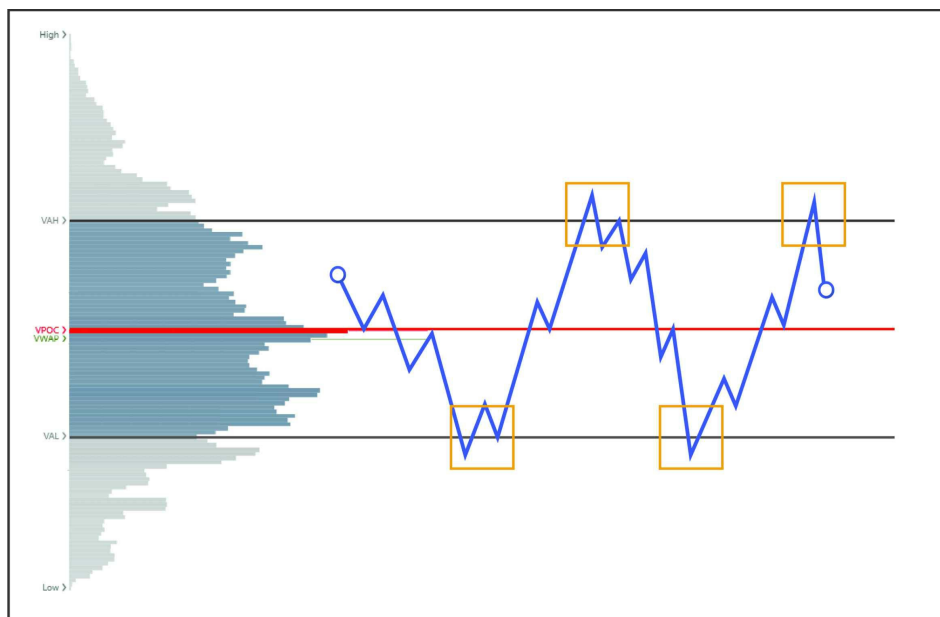
The levels to use will depend on the type of profile used based on your trading style, but generally speaking the logic will be exactly the same for all of them:

- ❖ **Entry.** Regardless of whether we are in a trend or range context, the identification of the operating levels, mainly the VWAP, VPOC and high and low zones of the value area (VAH and VAL) will be extremely useful for us to wait on them the development of our market entry trigger.
- ❖ **Stop Loss.** For the establishment of the stop loss we want to identify areas where there has been a previous rejection; and these are the areas of low trading or Low Volume Nodes. The price generated a turn on them and we expect that in the future they will behave in the same way; therefore it is an excellent area to place our stop protection. In addition to the LVN, the more operating levels we have in favor, the better.
- ❖ **Take Profit.** For the establishment of take profits we are going to look for zones of high previous negotiation. As we have already mentioned, high volume nodes (HVN) produce certain magnetism in the price and therefore are excellent areas for the location of targets.

5.8 TRADING PRINCIPLES WITH VALUE AREAS

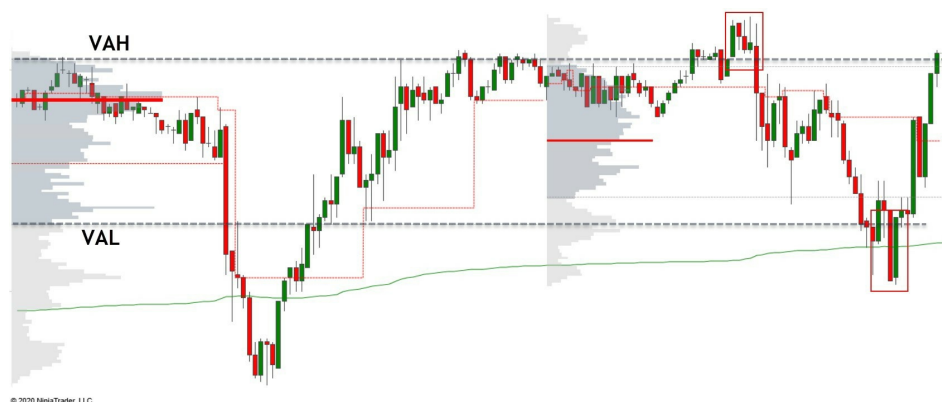
Regardless of the type of trader you decide to be and therefore the temporality and structures to use, these principles are universal with respect to the value areas of a given profile, be it that of a candlestick, session, movement or structure.

5.8.1 TRADING RANGE PRINCIPLE



If the price is within a value area, as long as the market condition does not change the market is likely to continue to generate value around the center point so the price will most likely be rejected when the extremes are reached. Buy low and sell high.

In the following chart we see a real example of the principle of range trading. It can be any asset or timeframe; what we do have to take into account is a reference profile to work on. For an intraday approach it is recommended to work on the profile of the previous session. For longer-term approaches, weekly profiles or Composite-type profiles that include more price action may be useful.

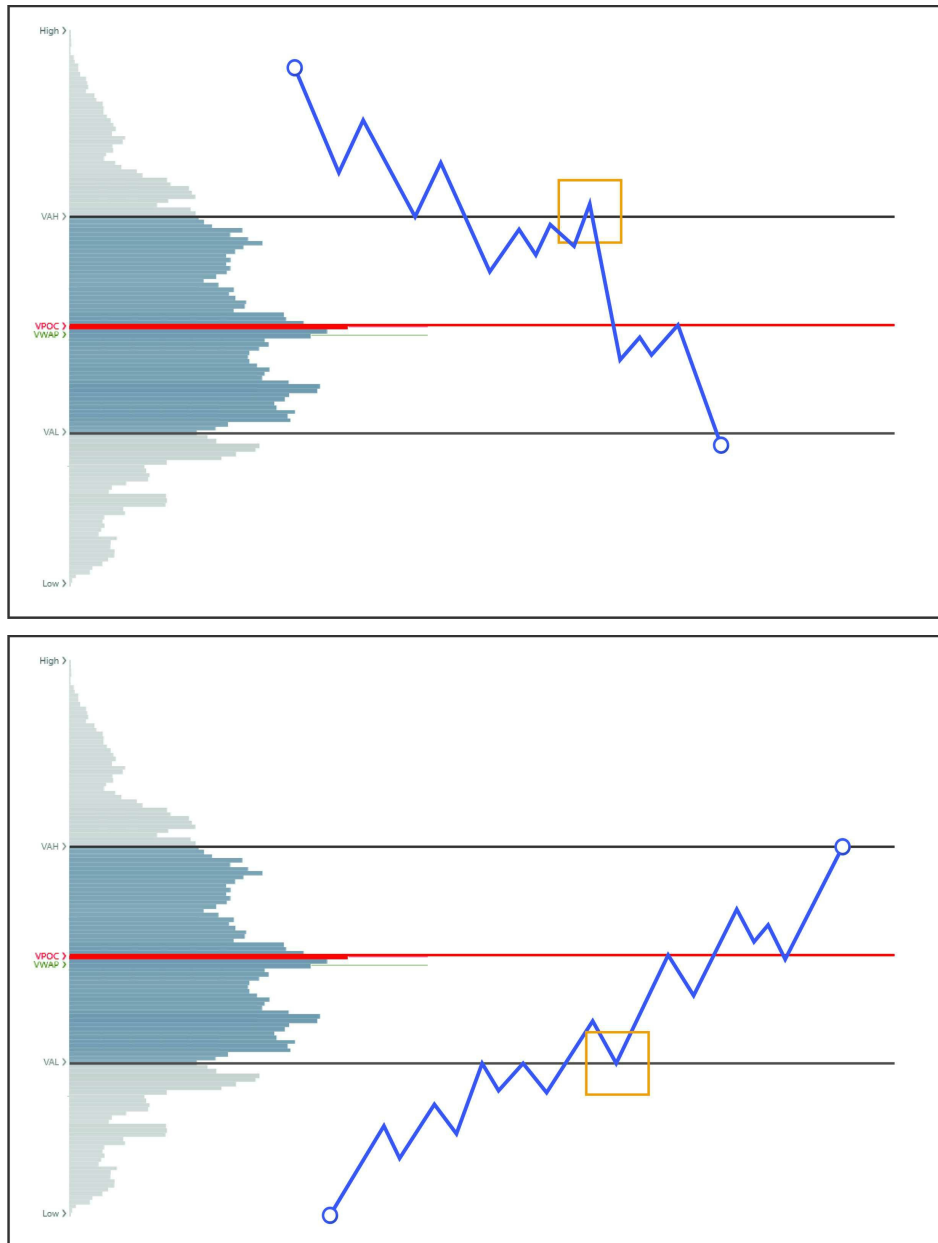


What is interesting in this case is that the price is within the previous day's value area, suggesting a balance in the market. With this basic idea, and as long as the sentiment of the participants does not change, any operative idea should be to wait for the reversal at the extremes of its value area, as seen in the chart.

The minimum target for this reversal at extremes is a test to the control zone (VPOC), with the most ambitious target being a move that completely traverses the value area and reaches the opposite extreme.

As always, the trades that will give us the most confidence will be those whose trigger is located in confluence on more than one operating level. In the example of the reversal that occurs on the VAL we see that the price also tests the weekly VWAP (green line) and a former control zone (DevelopingVPOC).

5.8.2 REVERSION PRINCIPLE



If price attempts to enter a value area and succeeds, it will most likely go to visit the opposite end of that value area. The market has refused to trade at those price levels so it returns to the previous value area. Adaptation of Market Profile's 80% rule.



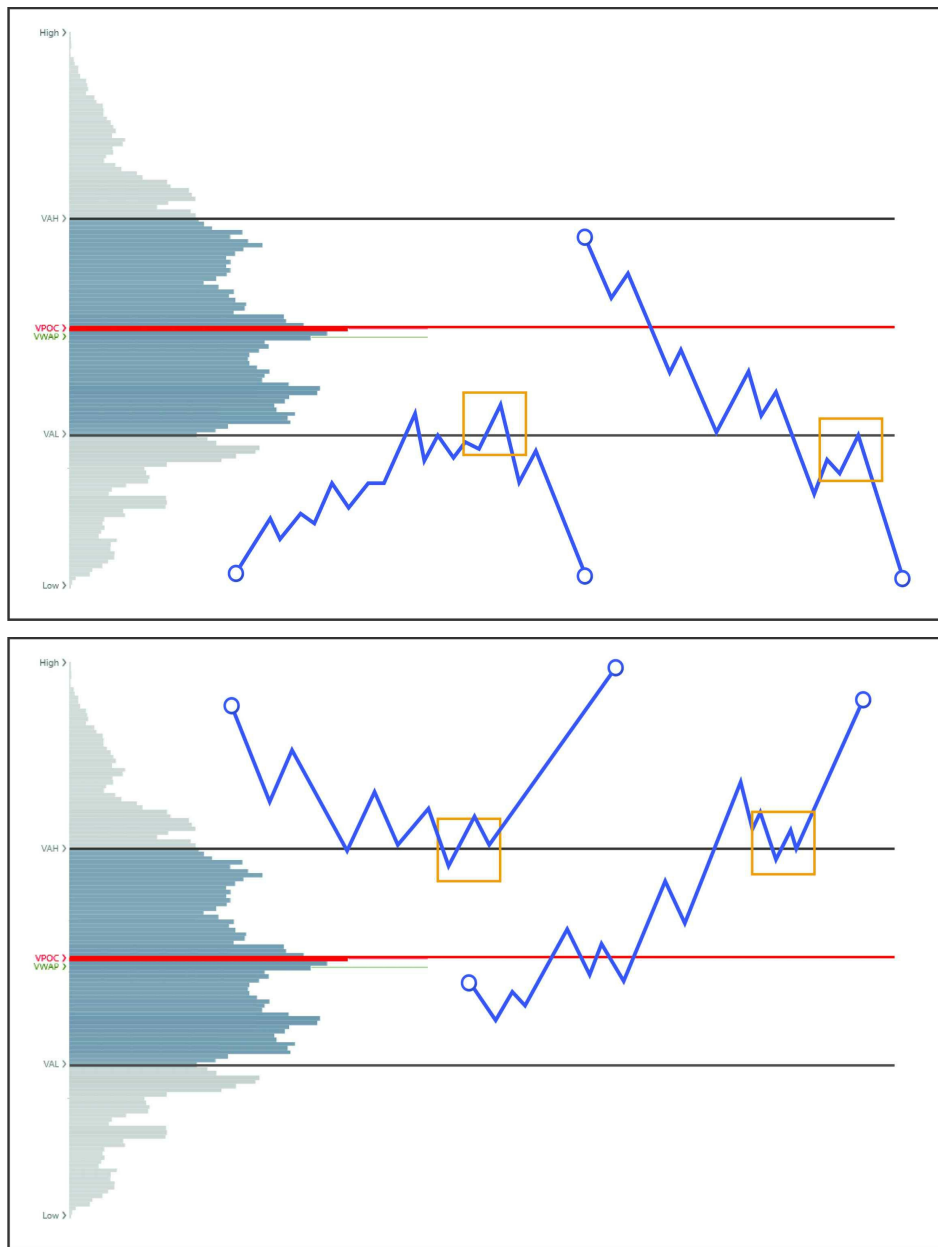
This chart shows the opening of the last session away from the previous day's value area at the top, indicating an imbalance to the bullish side and therefore initially suggesting a buying control. This control must be confirmed by the acceptance of the imbalance and we see how at the moment of truth, in a position of potential bullish continuation above the Value Area High, the price fails, re-entering again to the previous value area.

This is a very instructive example to visualize the importance of keeping in mind both buy and sell scenarios in order to be prepared and react in time when the market tells us to do so. Initially in this case we would be looking for such a bullish continuation above the upper end of the value area; but seeing its inability and subsequent re-entry, the reading now is that the bullish price discovery has not been accepted and therefore the probability now is that the price will visit the opposite end of the value area.

After the initial re-entry, an inside test occurs above the VAH at the confluence with the weekly VWAP (green line) to initiate from there the bearish movement that runs through the entire value area. At this point the price returns to a condition of total balance evidenced by this continuous

bounce between the extremes of the Value Area.

5.8.3 CONTINUATION PRINCIPLE



If the price tries to enter a value area and fails to do so by being rejected at the VA end or elsewhere, it will most likely initiate an imbalance in favor of that direction.

This is the test trade after a breakout. Price leaves a value zone and generates acceptance. This acceptance puts the direction in favor of the previous breakout as the most probable direction.

It should be noted that the price can come from outside that value area or from inside. The operating logic would be exactly the same.

In the following example we see on a real chart the development of this operating principle of continuation in its variant in which the price comes from outside the working profile.



The opening occurs above the Value Area High of the profile, so the first interpretation we must make is that there has been an imbalance to the bullish side in which buyers have had enough capacity to move the price away from its last value.

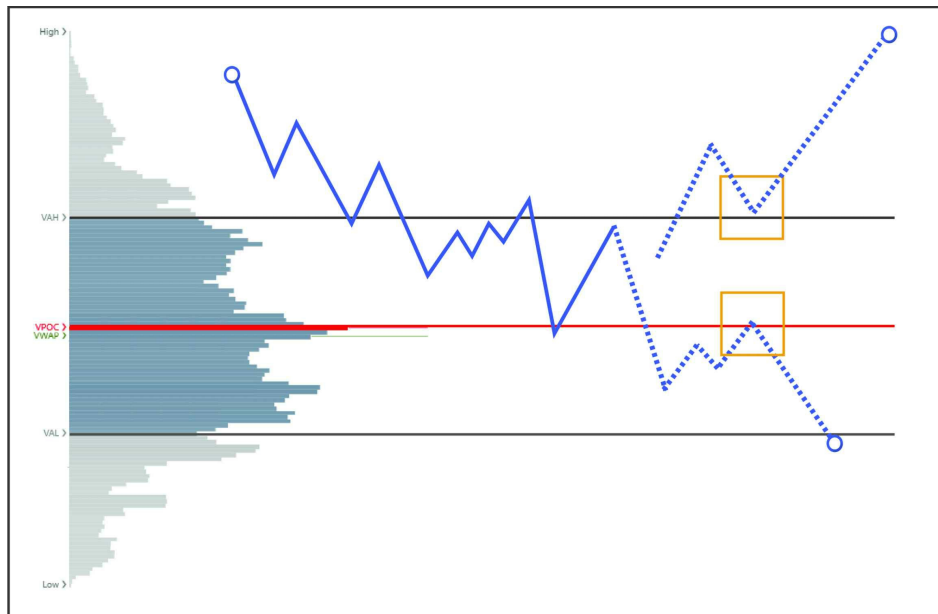
With this basic reasoning in which the market seems to indicate that the buyers are in control, the first scenario approach would be to wait for

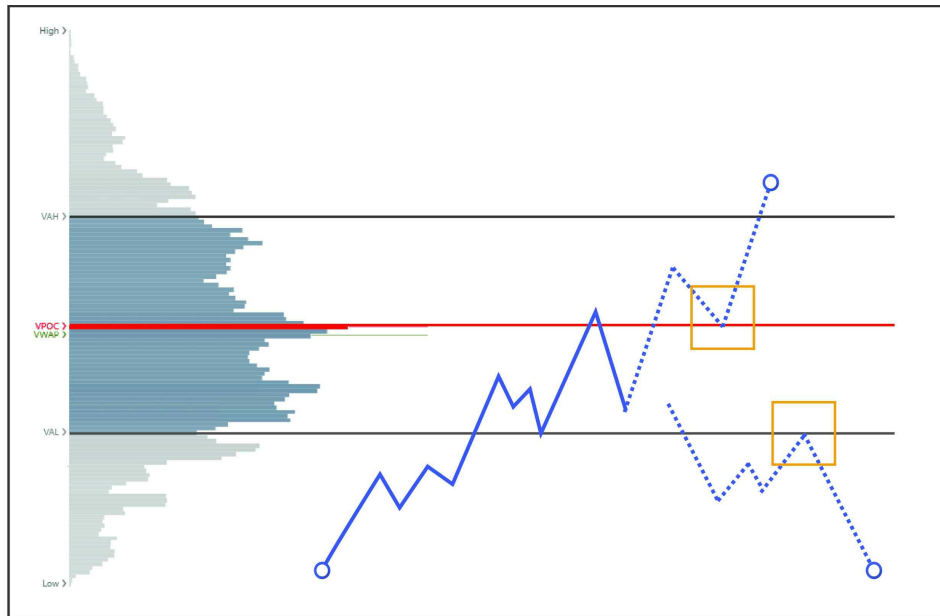
some kind of test before continuing with the development in favor of the imbalance, in this case to the upside.

The price opens the session and develops some lateralization and then goes to look for the VAH zone where it generates the bullish turn that could offer us a buying opportunity.

The most astute Wyckoff traders will be able to identify even a cumulative pattern from the beginning of the session, acting as a potential Spring of this structure. This is a very good example to visualize the importance of the context: in trading zones of purchase we want to see potential accumulations, as is the case here.

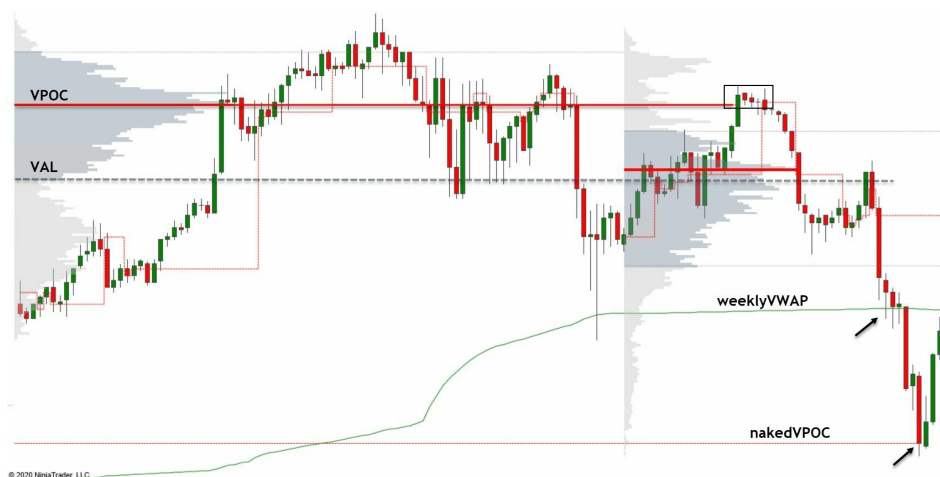
5.8.4 FAILED REVERSION PRINCIPLE





If the price tries to enter a value area and succeeds, but is strongly rejected at the VPOC of that range, the reversal trade would be cancelled until further price action is seen.

If it manages to recover the end of the value area, the continuation trade would be activated; while if it finally breaks the VPOC effectively, the reversal scenario would continue to be active with the objective of testing the opposite end of the value area.



The session opens below the previous value area so the first

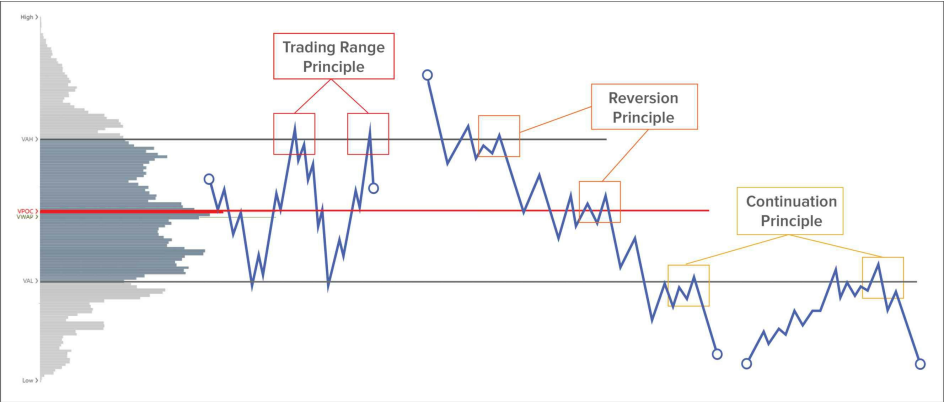
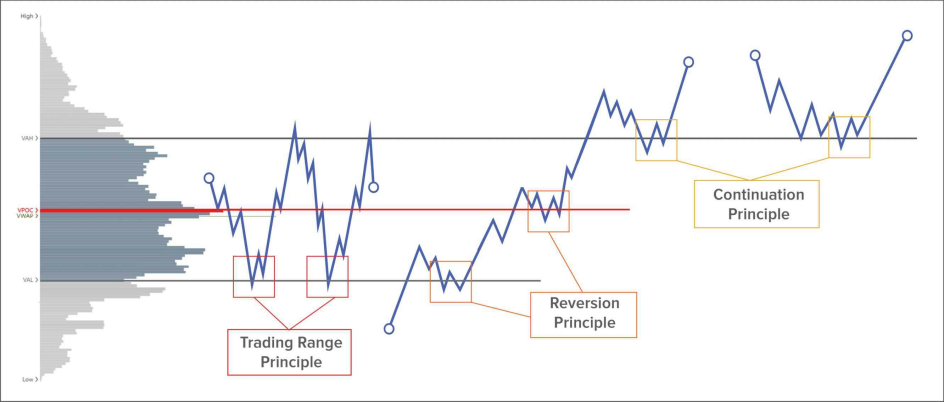
reasoning would be that the market is in imbalance and potential bearish control that would need to be confirmed.

At the first zone above which to wait for such confirmation of seller control (Value Area Low), the price overrides the scenario and re-enters the value area, triggering the reversal trade. As we will see below, any trade should be managed upon reaching the first relevant trading level; and in this case, a potential purchase on the VAL should necessarily be managed on the VPOC of the previous session.

After reaching this level, sellers appear, unbalancing the market again and provoking the development of a strong bearish movement. This aggressive reaction pushes the price out of the value area again, changing the market sentiment again and triggering at that point the failed reversal plus bearish continuation trade variant.

Now it does develop a successful test above the Value Area Low to initiate from there the bearish movement with possible targets at the weekly VWAP and at a naked VPOC below.

5.8.5 SUMMARY TABLE OF THE OPERATING PRINCIPLE WITH VALUE AREAS



PART 6. ORDER FLOW

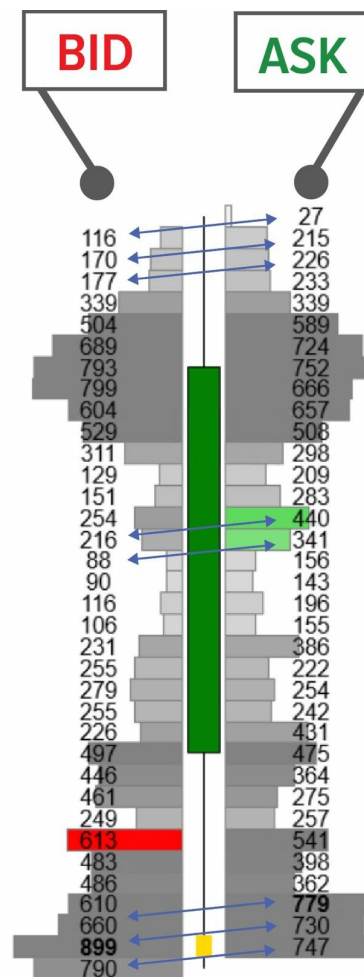
Once we have a thorough understanding of the subjectivity involved in order flow analysis we come to the moment of further reasoning to see if it is really useful to use it.

In general, the only time when it would be useful to look at the chart and look inside the candlesticks to analyze the order flow would be when the price reaches the trading zones where we are looking for the imbalances we expect to enter the market (it is all subject to the context).

Being aware that the matching of orders has different intentions behind it, what we are looking for in these imbalances is the entry of large traders with the intention of taking risk, speculating, opening positions in favor of one direction or another. We will never know for sure if what we are really observing are directional orders and that is why we must limit the use of this tool only on key operating zones.

As we have already seen, footprint analysis can be done in different ways based on the representation protocol. I particularly find it more visual to observe the graph using a configuration known as Volume Ladder. This type of footprint allows to observe the number of contracts executed in the different columns (BID x ASK) while making a representation of the volume traded at each price level within the candlestick in the form of a histogram.

6.1 FOOTPRINT READING



The first thing to be clear about is that the reading of the order flow is done diagonally and not horizontally. This is due to the very nature of the market in which participants can trade in different ways.

Buyers can participate either passively by leaving their demands on the BID or actively by attacking the ASK. Sellers can enter either by placing their bids at the ASK or by assaulting the BID with orders to

market.

Participants therefore have two prices at which to trade: the BID and the ASK. There is no single price at which all participants can trade at the same time. If there were, it would make more sense to analyze the footprint horizontally rather than diagonally.

That is why to assess the existing strength or weakness among market participants at a given price level we will always compare orders executed diagonally upwards: one level of the BID with respect to a higher level in the ASK column.

6.2 IMBALANCES

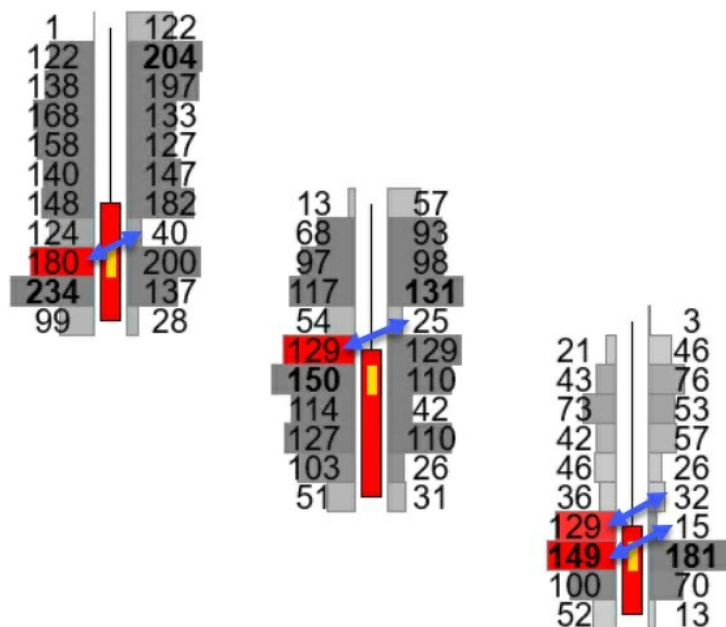
A large part of the key actions that we try to identify in order flow analysis have to do with unbalances. This behavior is composed of high trading (high number of contracts traded) in one of the columns and at the same time low trading in the opposite column (diagonally).

It should be noted that this unbalance should meet certain minimum parameters to be determined as such. The fact that there is simply a higher volume than in the opposite column is not enough, there needs to be a disproportionate difference in volume. And this difference can be parameterized by configuring the platform to show such unbalances when there is a 200%, 300% or 400% disparity between the levels to be compared. This means that 2, 3 or 4 times more volume has been traded on a column than on the opposite column.

Many traders also add a minimum number of contracts to calibrate the imbalance. If you have a deep knowledge of the market you are working in this filter will help you to refine the identification of such imbalances even further.

Using these rotations in percentages allows the analysis to better adapt to market conditions and adds some confidence as they are

objective values.



In this example chart we see imbalances in favor of the BID with a difference of 400%; in other words, 4 times more contracts have been traded in the BID than in the ASK in relation to the diagonal opposite level.

The analysis to detect possible imbalances is carried out by propinquity nature in comparative terms for two reasons:

1. Because it takes into account the level of the opposite column to determine that there really is an imbalance.
2. Because it will depend on the volume traded on that particular candle. Had such an action occurred at another time (where generally higher volume was traded) it might not have been seen as such an imbalance.

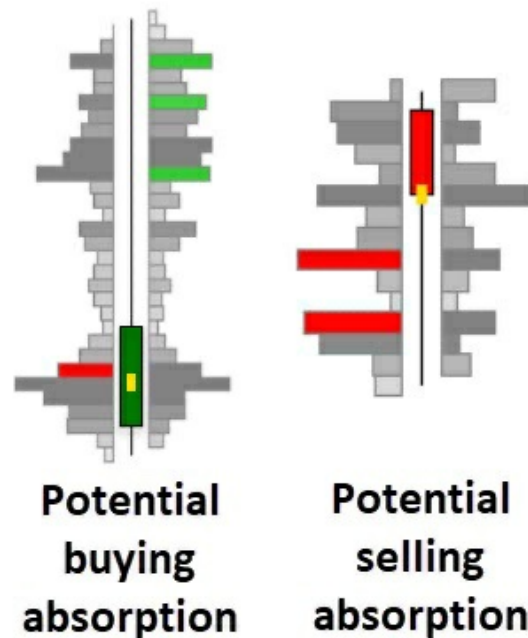
6.3 TURNING PATTERN

Order flow analysis involves many concepts. In an attempt to simplify and try to objectify its reading, and since we are only going to proceed to its analysis in potential trading situations, we will be looking for the events that suggest an effective market turn: potential takeover and initiative.

ABSORPTION

This is a blockade through limit orders. There are large traders who do not want the price to move further in that direction and initially enter through passive orders to cause the movement to stop.

What is interesting is to see that after this high trading the price has little or no movement in that direction. Sometimes these processes will take longer and large traders will be forced to take such action repeatedly over a price range, visualizing possible takeover over more than one footprint.



When determining a potential absorption we initially want to see it appear on relatively high volume. This will minimize the possibility that we are at the wrong time in the market where no such action is actually taking place.

On the other hand, although the color of the candlestick is indifferent, its closing price must be against the imbalance. To treat such behavior as potential takeover buying we want to see the imbalances remain above the closing price; and below the closing price for the example of potential takeover selling. This is the greatest demonstration of blocking and refusal to move further in that direction.

As with any other market action, it is confirmed or rejected by the subsequent reaction. If we observe high volume, a potential takeover and the inability of the price to continue moving in that direction, the odds increase that we are actually looking at a takeover.

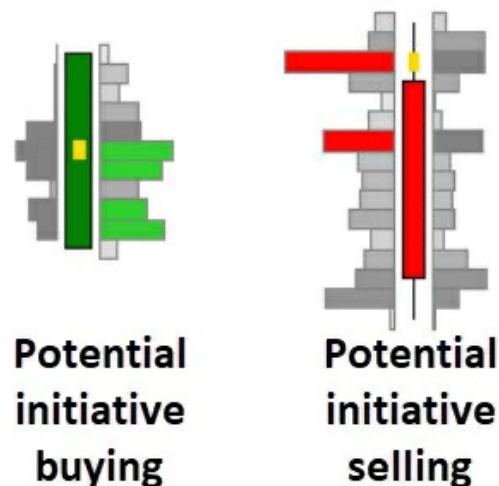
Although such takeovers may appear leaving wicks, this is not a

necessary characteristic as they can also appear on candlesticks that close at the same end. The key here is to see that the price does not subsequently continue in that direction.

INITIATIVE

As we have already mentioned, the execution of passive orders alone does not have the ability to move the price, aggressiveness is needed.

If the analysis is correct and we are in the right place, after seeing a possible takeover, the appearance now of initiative will be the definitive signal to confirm the market turn we were looking for.



This initiative is represented as large trades executed with market orders on the column in which we are looking to enter the market: If we want to buy we will look to see aggression in the ASK column and if we want to sell we will look for aggression in the BID.

Again we quote the principle that every action must be confirmed or rejected by the subsequent market reaction. If we see a possible initiative which is followed by a subsequent and immediate price move in that direction, we will be in a position to confirm that action.

This initiative, this large volume executed will be very easy to identify on the trace as the imbalance with respect to the rest of the levels of that same period will be very evident. Some authors use this term to refer to several imbalances together. While it is true that the more imbalances we observe, the stronger the approach will be, the configuration of the imbalance greatly influences its representation since it is not the same to configure the software to show imbalances of 400% than 150% where the latter will appear much more frequently.

As with the takeover, we must take into account the volume traded on that candlestick. In order to add confidence to the reading, we want to see that the volume is relatively high.

Unlike the takeover, in case of the potential initiative we want to see that the closing price is in favor of the imbalance; that is, in case of a buy initiative we want to see the imbalances in the lower part of the candle; and in the upper part in case of a sell initiative. This trace suggests to us that there is harmony between that action and the subsequent and immediate price movement.

In essence this candlestick that denotes initiative is the same as the SOS/SOWbar that we work under Wyckoff methodology, and should therefore comply with their common characteristics::

- ❖ Relatively high volume.
- ❖ Wide range.

❖ Close at the extreme.

Sometimes such a market turn pattern may be observed in one or two candlesticks (V-turn). At other times, after visualizing a possible takeover, the market will need more time consumption before the initiative appears. In the event that the market needs to consume that time before the actual turn occurs, what we want to see to add strength to the takeover idea is some sideways movement of the price where we can see the inability of the market to continue in the direction it was going, this is a very evident sign of the takeover action at times.

Another interesting detail that would add strength to the reversal pattern is if the market leaves a finished auction at the end. This would signal to us the refusal of traders to continue trading in that direction and such lack of interest would facilitate the turn in the opposite direction. If we are not able to identify the finished auction through footprint analysis, we can use the Volume Profile as we have already seen.

6.3.1 BEARISH TURN PATTERN: BUYING ABSORPTION AND INITIATIVE SELLING

If we are currently waiting for a bearish trigger to develop, we will look to the left of the chart in order to identify any traces that suggest possible aggressive takeovers.

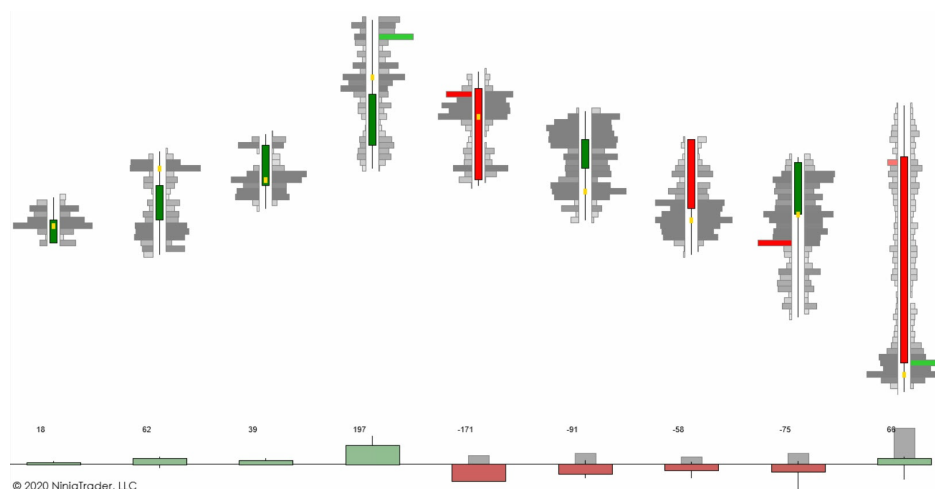
As we have already seen with order crossing, aggressive buying crosses with limit selling and this interaction appears in the ASK column.

Therefore, what we want to see as a sign of possible takeovers are large trades in the ASK column on or near the trading area.

But not just any location of these large trades would not be enough, the ideal would be to see them on the top of the candlesticks because in case that really big traders want to enter with limited sales, these will be at a high price level (buy low and sell high).

This possible takeover alone is not enough to enter the market. We need to see aggressiveness that suggests selling intent, and we identify this with the appearance of large trades in the BID column. This BID trace is objectively the execution of aggressive Sell Market orders and given the context in which we find ourselves, we could interpret that the origin and intentionality of such orders is to enter the market directionally by adding selling pressure.

The ideal location where we want these large trades to show up is over the top of the footprint. If in addition to this we see a subsequent downward price movement, we would be facing another footprint that would suggest the aggressive entry of sellers, visually and by methodology it would appear on the chart as a Sign of Weakness bar (SOWbar).



In this example we see how this pattern of potential takeover of purchases plus sellers initiative appears during the development of two contiguous candlesticks. It would be the exact theoretical representation of what we are looking for: an approach to the trading zone with a move that denotes lack of interest, a quasi weather action where ASK imbalances occur on the high side of the candlestick, followed by a candlestick with BID imbalance also on its high side that achieves some downward displacement and closes at candlestick lows (SOWbar). We also see a significant rotation in the Delta from +197 to -171, suggesting a change of control in favor of sellers, confirmed by the subsequent bearish reaction.

6.3.2 BULLISH TURN PATTERN: SELLING ABSORPTION AND INITIATIVE BUYING

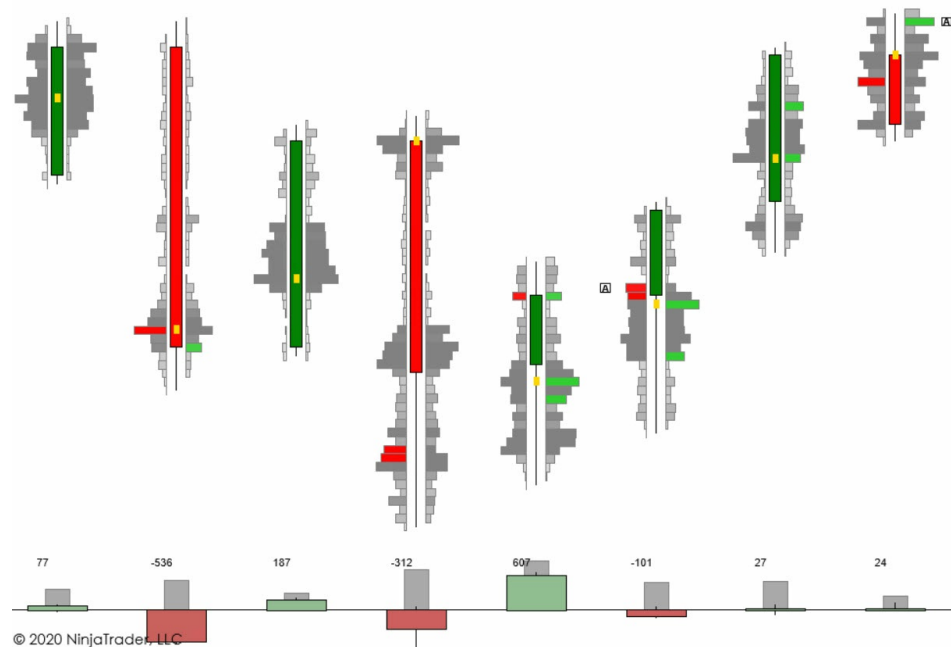
In a context of waiting for the development of the bullish trigger, we will be looking for traces that suggest a takeover of sales. Conversely to the above, this takeover should show up as strong activity in the BID column. Takeover is a simple blockade where in this case the price is not allowed to fall. All sell orders assaulting the BID are matched with buy limit orders making it impossible to move the price down. This is a very important footprint of professional accumulation.

With respect to the location of these large trades we want to see them at the bottom of the footprint as a true reflection of the blockade. If we see those huge volumes at the top it would make little sense to think

about possible takeover selling.

Subsequently what we want to see is buying initiative: aggression to the ASK suggesting the intention to enter the market directionally driving the price up. We want to see these imbalances remain below the closing price of the candlestick, which will suggest that this aggression has had some continuity to the upside.

In essence a SOSbar is exactly that, aggression by large traders who get a large price move. The difference is that through candlestick analysis we see the final representation and not the order crossover that occurs within it.



Here is a genuine theoretical chart of a bullish reversal. If we look at it, before the turn we can already see a potential takeover on the candlestick that marks a -536 Delta. It is a very good example to highlight the importance of the Delta. After that -536 is followed by a bullish candlestick, this is a first indication that we are possibly facing a takeover

because if the executed there were really aggressive sales, the price would have continued to fall. Instead, the price reacts by rising; but this bullish candlestick does not have much commitment behind it since on the one hand it does not leave any imbalance to support its movement, and on the other hand the delta is not very significant in relation to what we have seen previously. Most likely the market is not yet ready to go up.

And that is when it develops the effective turn in a two candlestick pattern. New takeovers can be seen in that great first bearish candle which is accompanied by a delta of -312 to later appear a bullish initiative candle with imbalances in the ASK, a relatively high volume and a delta of +607 evidencing now a clear rotation in favor of buyers.

6.4 CONTINUATION PATTERN

The continuation patterns serve us mainly to confirm the directionality originated in the previous turn in addition to allowing us to identify points where to look for incorporation when a trend movement is underway.

This pattern is composed of two actions: the creation of the control and its subsequent test..

CONTROL

This pattern is the clearest signal of interest in favor of a direction. It is visualized on the track by imbalances. It is essentially the same as initiative with the only difference being that it occurs once the movement has been initiated.

Although we could determine a control with a single imbalance, it is advisable to wait for the appearance of at least two imbalances. The logic is that the more imbalances the traders are able to generate, the stronger the zone will be. Again, it must be taken into account that depending on how demanding it is to parameterize the software, it will

show more or less imbalances. For this reason, it is not necessary to confine oneself to theoretical definitions that are not totally objective. The fact that a single imbalance occurs instead of two or three together does not mean that this event cannot be treated as a control.

This is because the control action is not only about imbalances; other characteristics such as candlestick range, candlestick closing level and volume traded must be met.

We therefore identify a bullish control when we see imbalances in the ASK column on a candle with good volume that manages to close in the upper third of the total range. Preferably the further down the candlestick range the imbalances are, the stronger the stock.

Similarly, we identify a bearish control on imbalances (the higher the range of the candlestick, the better) in the BID column on a bearish candlestick with high volume that closes in the lower third of its range.

If we have not had the possibility to enter the turning pattern after seeing the takeover plus initiative, the creation of the controls will offer us a new possibility to join as long as there is still a considerable distance from the level where we will set the target.

The participants generating the pattern have had the ability to exceed in an exaggerated way the number of contracts traded aggressively with respect to the traders in the opposite column. This action is very relevant as this is not just a single, isolated imbalance, but they have enough momentum to create three imbalances in a row at different price levels.

If after seeing a reversal pattern we observe such an occurrence on the print it will give us greater confidence that we are positioned in favor

of the majority of the professional money.

TEST TO CONTROL

This is a move that is going to test a previous area where aggressive traders (controls) have potentially entered.

Controls naturally identify a strong zone where it is assumed that the traders who caused the previous imbalance will reappear again should the market revisit the zone.

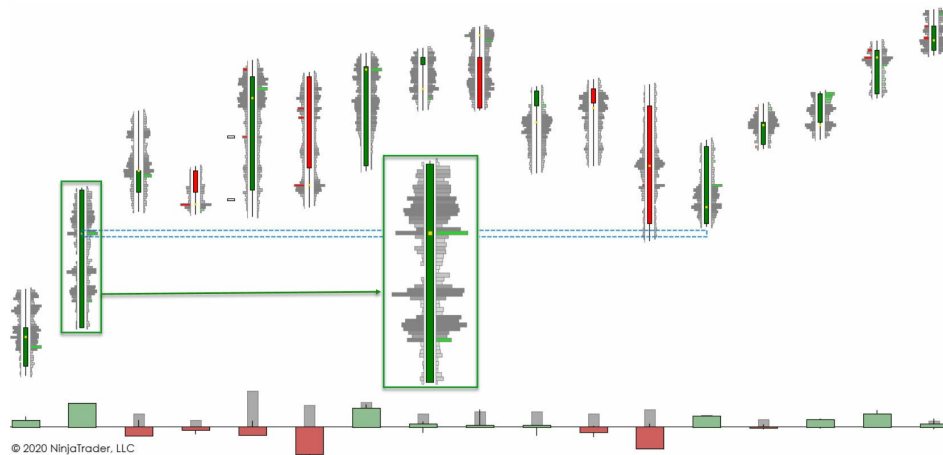
That is the underlying logic behind that particular action. We are going to favor the fact that those traders are going to defend their position by not letting the price move against them, thus offering us a good opportunity.

So what we will be looking for is the development of a new reversal pattern over the zone. A zone that will encompass the price levels identified in the control. In this context, the takeover action may not be so remarkable since the big effort has already been made previously. What should be evident is a new show of initiative suggesting the aggressive entry of such traders defending their position. This should be the definitive signal to enter the market.

Sometimes such a test will develop very quickly on the next developing candle. This will probably be seen as a wick that denotes a lack of interest to trade in that area leaving a full reversal of the candlestick afterwards. At other times there will be a small extension in that zone where the price will temporarily appear to break it but

eventually reverses leaving a rejection. And there will be the occasional time when the test leaves it practically ticking. The key here is to keep an open mind and be flexible with respect to the representation of such a test.

A It should be noted that the lack of interest should be manifest in this behavior as in any other known test action under price and volume analysis. Clear evidence of this inactivity as we already know would be observable through relatively low volume.



In this example the price comes from generating a bullish turn and is in the middle of the movement. The bullish control is created in this bullish candlestick with a wide range, good volume and positive delta. We identify the imbalance level that also coincides with the VPOC of the candlestick and we extend it to the right as a potential long search trading area. The price then pulls back above this level and generates a two candlestick reversal with good delta rotation. It is interesting to note how the bearish candlestick reaches this level with a decrease in volume denoting rejection and how the bullish candlestick subsequently generates a large volume leaving a new imbalance in the ASK. From there the price continues its bullish development.



In this other example we see how the bearish control is generated on a candle with large displacement and high volume with a large negative delta suggesting strong aggressive entry of sellers.

If we look, the imbalance in the BID is generated along with other levels that have had a high trading so we can assume that area as a High Volume Node; and this will be the one that we will project in the future to look for the bearish continuation on it.

In this case the chart is 15 minutes so if we want to refine the entry we could lower the time frame to 5 minutes to look for the bearish reversal pattern: takeover of purchases and sellers' initiative. In case we want to continue maintaining the time frame, we would wait for the closing of the candle that tests this control to evaluate if sellers have entered again and our entry trigger is activated.

The key, as discussed above, ahead of two or more imbalances being generated together to treat such action as the control is that even if it is only one, it appears on a candle with a wide range, close near the extreme and relatively high volume as these are the traces that suggest to us the entry of large traders.

For the continuation pattern, we could also treat as the control on which to look for the test that initial imbalance that we identified in the initiation of the reversal pattern. Most likely it meets all the characteristics we are looking for so it would be the first area to project in which to look for the entry.

6.5 FRACTALITY

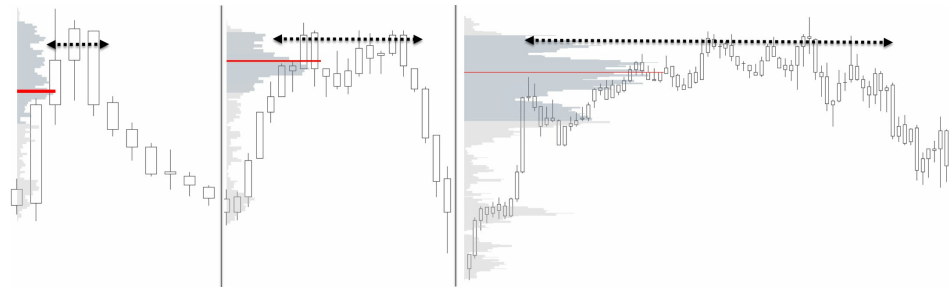
Although basically the reading of this type of pattern is intraday oriented, this logic can be extrapolated in the same way to higher time frames.

In the turning pattern observable in the Order Flow fingerprint, takeover and initiative is nothing more than a minuscule-scale representation of what in another temporality would be a cumulative or distributive scheme. The same turning pattern could be observed in a slightly larger perspective (during the development of one or several sessions) and would be visualized in the form of P and b, where the bell is nothing more than a takeover process within it, with the initiative being subsequently represented as the movement of the breakout of the value zone.

Assuming it on an even larger scale we would have the medium and long term structures composed from several days to weeks. These structures again represent exactly the same behavior, where the takeover process would be the accumulation/distribution range, and the initiative would be the trend movement albeit on a larger scale.

The only difference is the time consumption needed by the market to complete such a takeover process. In the following example we see

how in the chart on the left it develops in a three candlestick pattern; in the central one it does it during the development of a session; and in the chart on the right it needs to consume several days to carry out the process leaving a clearer structure.



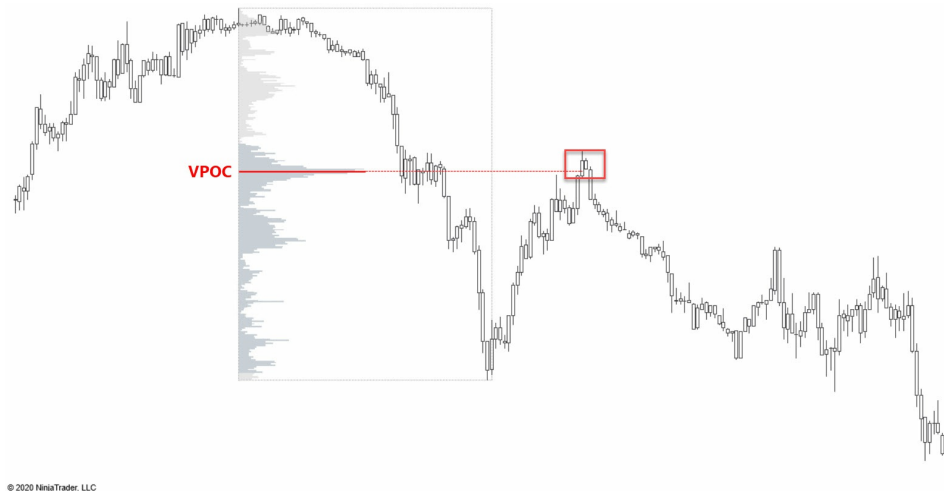
The same is true of continuation patterns. In essence a control will be part of an impulsive move while a test to that control will be part of a corrective move. This is the natural dynamic of trend movements: impulses and reversals.

Looking at it on a higher scale, such a control can be identified in the VPOC if we launch a profile over the entire impulsive leg. This VPOC would represent the control zone of the whole movement. That is why these are levels to be taken into account on which to look for the end of a possible retracement and the beginning of a new impulse.

And on a longer term scale, where we try to analyze the overall context, we assign the control function on the high volume nodes (HVN), which represent accumulation/distribution structures over other time frames.

In the following chart we see an example of this concept of fractality with controls. We launch a profile of the last impulse and identify the VPOC of that leg. This VPOC can be considered as the sellers control zone so a good strategy would be to try to go short in a future test of the zone. The key to understanding the concept is to be clear that if this

bearish momentum was part of a single candlestick, the most traded level within it would be that VPOC. We also see how this control is generated by a minor redistribution scheme which causes the creation of the High Volume Node.



This is the best explanation to understand the fractality of the market. As we can see, the behaviors are always the same regardless of the time variable. Here lies one of the advantages of this methodology. Once this is internalized, we can be in a position to cover with a greater solidity the trade in different timeframes.

PART 7. WYCKOFF 2.0

We come to the final part after having presented what from my point of view are the most solid principles for discretionary and technical trading in the financial markets. It is what I have called Wyckoff 2.0.

It is about bringing together the main ideas of the Wyckoff methodology; the principles of the auction theory and helping us with the Volume Profile and Order Flow tools with the aim of proposing the most robust scenarios possible.

1. WYCKOFF METHODOLOGY

It is the cornerstone on which the trading approach is based mainly

because it is based on a real underlying logic, because it provides us with a context with which to propose scenarios and because it offers us different analytical tools with which to evaluate who may be in control of the market.

On the one hand, we talk about **underlying logic** because of the theoretical framework behind it. There are many concepts that Richard Wyckoff tried to disseminate, but without doubt the most relevant have been the three fundamental laws and the processes of accumulation and distribution.

Among the three laws, if there is one that stands out as a standard associated with the Wyckoff methodology, it is the Law of Supply and Demand. It is the true engine of financial markets even though they have evolved. Regardless of the type of participant, intent, valuation or anything to do with the positioning of an order, in the end it is all about executing a transaction, buying and selling; and this is universal.

Furthermore, the processes of accumulation and distribution, going hand in hand with the law of cause and effect, give us a very genuine picture of how the market moves. There is no doubt that in order to visualize an effect in the form of an uptrend it will first be necessary to develop a cumulative cause; and that for a bearish effect to take place it will first be necessary for a distributive process to take place. How such processes will develop is quite another matter.

On the other hand, we must emphasize the importance of having a clear **context** to guide us. This is one of the most important sections of the strategy since it allows us the possibility of considering certain movements based on how the price is behaving up to the present moment.

We understand that the interaction between supply, demand, buyers

and sellers creates structures that, although not in form but in substance, are constantly repeated. The genuine identification of these structures helps us to recognize the context in which we find ourselves in order to favor the development towards one side or the other. At this point it is important to emphasize what we understand by fractality and how minor structures fit into other major ones.

Finally, the Wyckoff methodology approach provides us with a series of **analytical tools** with which to evaluate who is taking control of the market during the development of the structures.

Most market actions provide us with information about the commitment of buyers and sellers to take control. The fact of developing a move in a specific way or simply failing to develop a certain move leaves us with very subtle clues with which to assess underlying strength or weakness.

Finally, the analyses under the Law of Effort and Result are very useful in order to determine the harmony or divergence in the movements. In the end, it is a matter of making the most objective analysis possible and adding up the traces in favor of one side or the other to determine who is more likely to be in control.

2. AUCTION THEORY

Although Richard Wyckoff did not use these concepts in his studies, the **balance and imbalance** are still the reasoning behind lateral and trend movements.

An accumulation and distribution range, terms that Wyckoff did use, are exactly balancing zones where buyers and sellers exchange their contracts as a sign of market efficiency, a term used by auction theory. The same is true of upward and downward trending movements, which in essence represent inefficiency and imbalance.

Ultimately the underlying logic of the principles of the Wyckoff methodology are based on exactly this, on auction theory, the **acceptance and rejection** of certain areas; and this is what I am trying to convey to anyone who alludes to this approach as an outdated and totally inoperative method for today's markets.

In addition, we incorporate the principle that the market, in order to **facilitate trading** among its participants, will always seek to go to former zones of high activity where both buyers and sellers exchanged a large number of contracts. This principle is tremendously useful for more accurate analysis and for locating logical zones for profit taking.

3. VOLUME PROFILE

The Volume Profile is a tool that objectively **identifies the most important trading zones** and volume-based trading levels.

For Wyckoff traders the analysis of the profiles helps us to improve the **identification of structures** mainly for those cases in which they develop in a more erratic way where the events are not so easily identifiable.

Other interesting uses it offers us is the determination of **market**

bias through the analysis of trading zones and trading levels; in addition to the analysis of **trend health** through the continuous evaluation of the evolution of value areas.

For those traders who do not take into account the Wyckoff methodology approach, the Volume Profiles also provide a context for setting scenarios based on the **operating principles with the value areas**. While it is true that taking into account all the analytical tools offered by the Wyckoff methodology can help us in favor of trading one way or the other, these Volume Profile operating principles also serve as a roadmap with which to expect specific price movements.

Finally, it can also be tremendously useful to take it into account to calibrate the position management; everything that has to do with the entry of the trade, the location of the stop loss and the establishment of the profit taking.

4. ORDER FLOW

After studying in depth everything that has to do with the crossing of orders and evidencing the problems of its analysis in isolation, we are in a position to limit its use only on the key operating zones.

Due to the discretion involved, using any type of Order Flow analysis without taking anything else into account does not seem to be the most solid way to approach it. If it is a subjective tool in itself, not having a clear roadmap can turn the trade into a coin flip.

This is where the importance of having a clear context and an

established directional bias comes in again. Only when we are in a potential entry situation is it time to, if anything, look at how the crossing of orders is occurring to validate our entry trigger.

Taking **imbalances** as a fundamental basis, the proposed Footprint analysis would mainly involve identifying the two key behaviors in market turns: **absorption and initiative**, right at the moment of the trigger search.

Also, in the event that we have not been able to enter such a turn, we still have the possibility of proposing an entry with a continuation pattern through the identification of **controls plus test**.

OPERATING SCHEME

Having as a fundamental basis the perception of value that we have studied with the auction theory, the context and the analytical tools offered by the Wyckoff methodology, as well as the analysis of levels and trading zones that we identified by Volume Profile, we are going to propose different trading strategies.

In order to facilitate the understanding of this section, a summary outline of the whole process is presented:

1. Analysis of the context to bias directionality

- Range

- In extremes
- In the interior
- Trend
 - Interacting with the value zone
 - Away from the value zone

2. **Identification of zones and trading levels** depending on the type of strategy

- Trading zones of structures under Wyckoff methodology
- Trading zones: HVN and LVN
- Trading levels: VAH, VAL, VPOC and VWAP

3. **Scenario approach** based on current price location

- Continuous validation protocol
- Alternative scenario

4. **Position management**

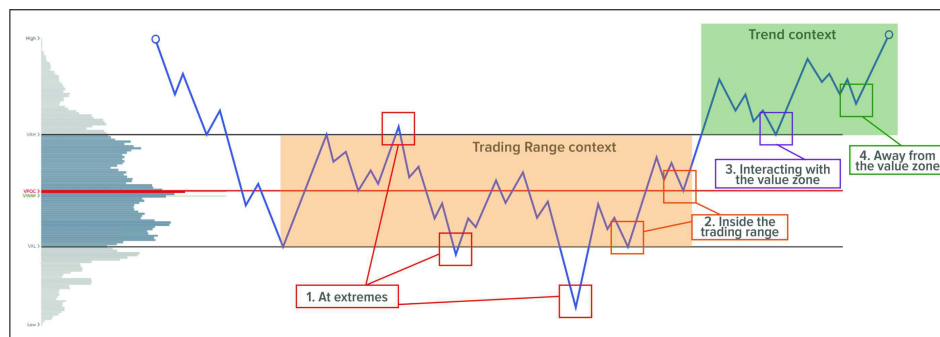
- Input
- Stop Loss
- Take Profit

Operative

- | | | |
|---|------------------------------|------------------|
| 1 | Context | What - buy/sell |
| 2 | Zones and operational levels | Where - location |
| 3 | Set-up scenario | How- movements |
| 4 | Position management | |

7.1 CONTEXT ANALYSIS

The first thing to do when analyzing any chart is to determine the context in which the price is: range or trend. Let's see a brief summary of the trading possibilities depending on the context:



In this chart we have an ideal accumulation scheme. We see how the operating context offered by the Wyckoff methodology converges with the operating principles by Volume Profile.

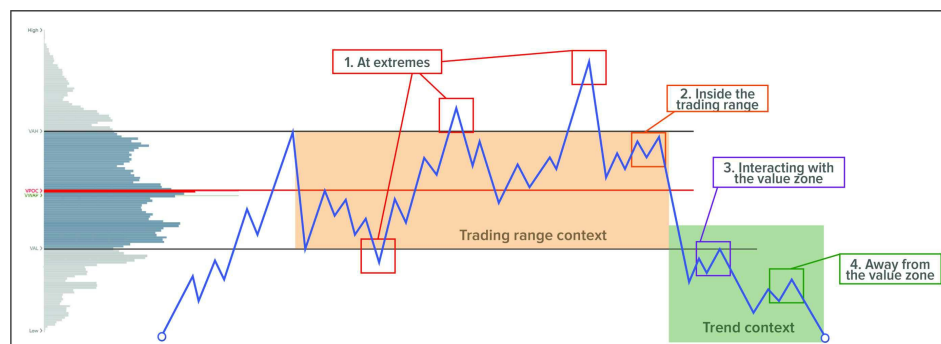
Within the first three trading opportunities at extremes (1) of the range context would fit with the principle of trading in range by Volume Profile.

After the Spring the price recovers the value area and we see again the confluence of both principles: by Wyckoff methodology we would look for a test to the top of the structure while by Volume Profile we

would activate the reversal trade where we would look for the visit to the opposite end of the value area of the profile. This movement to the opposite end we would be in a position to take advantage of it firstly on the Spring and secondly if it leaves us a trading opportunity inside (2), either on the potential test of the Spring or on a higher LPS.

Profile we would activate the scenario of continuation trading in which case we would do it on the end of the value area, in this bullish example on the Value Area High.

When the price is already in the middle of the trend movement we would have to work with the context away from the value area (4) where we would wait for some kind of pullback to look for the incorporation to the current movement.



7.1.1 TRADING RANGE CONTEXT

This is the construction of the cause of the subsequent trend movement which will be either upward or downward.

This rotation phase can appear during the course of one or several

sessions (even weeks). If it contains several sessions it is best to pull a volume profile together in order to identify the trading zones globally.

1. **At extremes of the range.** If we observe the stop of the previous trend movement and some subsequent lateralization, we will determine that we are in a range context within an equilibrium zone and the trading here would be based on the search for reversals at the extremes of the structure; i.e., buy low and sell high.

2. **Inside the range.** Inside the range. If we are in the interior of a large range and we have enough space we can also raise some trade looking for the extremes. This is especially advisable when we have seen a previous shock that provides us with a clearer directional context.

7.1.2 TREND CONTEXT

When a trend is identified, the trader should only trade in favor of it waiting for pullbacks to try to join the market.

3. **In trend interacting with the value zone** if after being sideways there is an inefficiency that throws the price out of an equilibrium zone, we must evaluate the possibility that it is an effective break or a shock. If the previously analyzed footprints suggest that it could be an effective breakout, the operative here will be based on the search for the confirmation test on the broken structure or at some more immediate trading level.

4. **In trend away from the value zone.** Once confirmed the effective rupture of the previous equilibrium zone, the price will now be in a trend context and the acceptance at these new levels where it is trading makes us base the trading in favor of this direction.

The question we must constantly be asking ourselves is in what context the market is currently in. Its answer will determine the type of strategy to apply. As we already know, the only two conditions in which the market can be in e balance or in imbalance. So basically we are going to be working on range and trend trading.

Next we are going to deepen in each of the operative contexts:

7.1.3 TRADING RANGE

We will mainly distinguish two scenarios within range trading depending on the price in relation to the analyzed balancing zone:

IN EXTREMES

That the price is trading within a value area suggests that the balance is total between buyers and sellers. Neither of the two has control and therefore the price is expected to continue to move in the same

dynamic.

The trading context here would be to favor reversals at the extremes:

- ❖ By Wyckoff methodology it would be to seek **entry into the shakeout in Phase C**. That is to say, if we are facing the upper part of the structure we will favor the Upthrust; while if we are in the lower part we will look for the Spring. Its genuine development will suggest the visit of the opposite end of the structure.
- ❖ By Volume Profile we would try to operate the reversal on the limits of the value area. We would therefore look for the bearish turn over the Value Area High and the bullish turn over the Value Area Low. A rejection over such areas would suggest the visit of the opposite end of the value area.

ON THE INSIDE

On the other hand, if the range is wide enough some scenarios could be posed inside it. By Wyckoff methodology, should we observe that the price has possibly developed the test event in Phase C, it would be the **entry into the trending move inside the range in Phase D**. The only necessary filter would be that it had enough available trajectories to offer a good risk/reward ratio.

In that case, we would need to be positioned in favor of the more trading levels the better. The fact that the price is able to reach one of

these levels and effectively break it will suggest that there is some control by traders in that direction. If we are also in favor of a High Volume Node, we would already have identified the bias of the market.

Within a wide profile we will be able to identify different high and low trading zones. We must remember that the last High Volume Node generated will determine the directional bias at least in the short term. As long as the price remains above it, we will only consider bullish scenarios and vice versa if it is below it.

- ❖ A High Volume Node is a lateralization of the price. By pure logic, if we find ourselves above it, we can suggest that this HVN is an accumulation. Therefore, to buy we want to be protected with an accumulation below it.
- ❖ The reverse is true for distributions. If we are below a HVN it will be identified as a distribution, which makes us think that favoring shorts would be the most appropriate.

This type of trading inside the range will be subject to necessarily manage the position when reaching the extremes of the balancing zone, since in principle we will have to continue favoring that none of the sides has total control until the final imbalance is provoked.

Supported by the trading principles of Volume Profile, in the event that the price comes from making a shock we would be in a context of trading in reversal applying the adapted rule of 80% where the probability, after re-entering the value area is in the visit of the opposite extreme.

7.1.4 TRADING IN TREND

After a movement of intentionality that breaks the balance and where the analyzed traces suggest us that the imbalance is on one side or the other, we will seek to trade in favor of that direction waiting for a test at some relevant trading level.

INTERACTING WITH THE VALUE ZONE

New information has entered the market causing the imbalance and the first thing to evaluate is that it is not a failed breakout that generates a shakeout with re-entry back into the value zone.

If the traces suggest that it is an effective breakout, our bias now should be to look for some trading idea in favor of that direction.

- ❖ Under Wyckoff methodology, if we see an impulsive move that intentionally breaks the structure we would look for **entry on the Phase D breakout test**.
- ❖ This type of trading is also useful for traders who do not trade structures. The logic is exactly the same. Based on pure Volume Profile analysis we could wait for the price to leave a certain value area and wait for the entry in the test of the same, this would be the **continuation trade** under the trading principles of Volume Profile.

To try to determine if we are indeed in front of a potential genuine

breakout we will analyze different footprints. It is time to recall the content seen in the section

How to distinguish between accumulation and distribution?

As main traces to try to clarify if the breakout will be genuine we will take into account:

1. **The shakeout.** Key action, search for liquidity. The deeper the shakeout, the stronger the scenario. Although local shakeouts sometimes occur (on some high or low within the range), let's wait initially for the total shakeout as it gives us greater confidence.
2. **Price action and volume after the shakeout and at the breakout.** Candlesticks with good displacement and high volume denoting control by one side (buyers or sellers). At the time of the breakout, since we are facing a liquidity zone it is likely that relatively high volume will appear and even visually some wicking will be observed. This is normal and should not initially lead us to think that it could be a shakeout since takeover behavior has this characteristic: high volume and the possibility of wicking. The key is what happens next.
3. **The reaction after the breakout looking for the non-reentry to the range.** After the breakout of a value zone we must wait for the price to gain acceptance at those new levels where it will be trading. This will initially be evidenced by a sideways movement in the market out of the range.

A sign that would add further strength to the acceptance scenario would be to observe the migration of the VPOC to that new area or the

creation of a new one (perhaps that of a later session). This initially represents acceptance but we would still have to wait to confirm the action, as we saw in the section on VPOC migration.

And the final fingerprint is obtained by visualizing the non-reentry back into the value area, into the range. At that point we will already have a change in the perception of value: price + time + volume where the probability would be in the continuation in favor of the breakout movement.

It should be noted that the time consumption after the breakout should not be excessive. Enough to generate a new VPOC or its migration, but at the moment this happens the price should start the trend movement. The momentum behind the first imbalance should trigger continuation with some alacrity.

Once the price manages to position itself and stay out of the value area we will determine that an imbalance has occurred, that such a move has not been rejected and therefore we will be in a position to look for entry in favor of that direction.

- ❖ If we are in a potential bullish breakout, all the volume seen below, as well as that previous balancing zone can now be identified as a potential accumulation. As we know, the effect of an accumulation will be a bullish movement and this is where we want to be positioned.
- ❖ Conversely, when we find ourselves in a situation of a possible bearish breakout, if the price is able to hold that zone and not re-enter the previous balancing area, we will be able to identify such

process as distributive and it will be the moment to look for the trigger with which to enter into a sell position to take advantage of the subsequent bearish movement.

AWAY FROM THE VALUE ZONE

We may begin to analyze a chart where the price is already out of a certain value area and is moving in search of a new balancing zone. In this context of trend movement, it is advisable to wait for the development of a test on one of the trading levels that we identify.

At this point it is convenient to remember Richard Wyckoff's teachings on how markets move. It is well known that markets move in the form of upward and downward waves: therefore, the scenario proposed necessarily involves waiting for this wave, which will be corrective in nature, before continuing in the direction of the trend imbalance.

The key now would be to identify possible zones over which to wait for the price to develop this corrective movement. The Wyckoff methodology would be to look for **entry into the trend movement out of the Phase E range**. It is a confusing context since this trading according to methodology goes through the search for new intentionality candlesticks (SOS/SOWbar), minor structures and new shakeouts (Ordinary Shakeout/Upthrust), but it does not suggest us the location over which to expect the development of such behaviors.

Here we see the importance of working with these volume-based trading levels and zones. They help us determine clearer locations where

it is viable for price to go as well as offer us one more footprint to analyze the health of the trend. The ideal scenario, for example, would be to wait for the development of a minor structure above the zone where an trading level such as the weekly VWAP or any other is located.

A very interesting concept is that we will continue to trade in favor of the last accumulation/distribution until the market develops a structure in the opposite direction or until it loses the last identified value zone.

In a trending context we will point to the last relevant high volume zone that is supporting such a move. That is, if we are in an uptrend we will have very present the last high trading node (HVN) below the current price and if we are in a downtrend we will have identified the last HVN just above the price. These nodes will ultimately determine the change in market control. Therefore, we will only pose a counter-trend scenario when this zone is breached. To go deeper into this concept, review again the determination of the market bias through the analysis of the trading zones seen in the section on Volume Profile uses.

7.2 IDENTIFICATION OF TRADING ZONES AND LEVELS

Once we already know the context and have determined what we want to do (buy or sell), the second has to do with where. This involves identifying the exact location where we expect the price to develop our entry trigger.

The trading logic is exactly the same for all contexts, profiles and timeframes: identify the trading zones and levels and wait on them for our trigger to confirm the imbalance and enter the market.

Depending on the type of trading you do, you can adapt these same concepts to your trading.

- ❖ If you are mainly an **intraday trader**, you may use the profile of the previous session as a basis for scenario building and the profile of the current session as a support.
- ❖ If you are a **longer term trader** you may find it more interesting to analyze the profile of the previous week as a basis to identify the trading zones; or a Composite profile to cover weeks or months and to be able to identify the high and low trading zones; as well as to take into account the VWAP of higher

time frames such as weekly and monthly.

- ❖ If you trade **structures**, it may be best to pull fixed profiles anchored to the working structures and set up scenarios based on their trading zones.

Or maybe what works best for you is to do a mix of all of the above. In the end each trader will have to do individual work to determine which way they feel most comfortable as there is no universal rule about which profile to work with. The important thing is that the concepts are exactly the same for different trading contexts.

For this point it is useful to be clear that completed profiles have a higher relevance than profiles in progress. By pure logic, a profile that is still under development is susceptible to changes in its levels and therefore the importance that we can give to these decreases. On the other hand, completed profiles ultimately represent the final market consensus and their levels become more important.

As to how much time period Composite profiles should cover, there is no general rule. You may want to consider the last week, the current week, the last month, the current month or the current year. Here you necessarily have to decide on a discretionary basis. There is no one profile better than another and it is therefore the trader's job to determine which one to work with. What is recommended is that these profiles cover sufficient price action both above and below the current price in order to be able to identify key trading areas, primarily high and low volume nodes.

The search for the trigger to enter will therefore be made exclusively on the zones already indicated, distinguishing between:

- ❖ Trading zones of structures under Wyckoff methodology.
- ❖ Trading zones: HVN and LVN.
- ❖ Trading levels: VAH, VAL, VPOC and VWAP.

Depending on the trading context, we will favor waiting on one or the other levels:

AT EXTREMES OF THE RANGE

This is the classic Wyckoff trade in the area of potential shakeout of the highs/lows of the structure. Tradable the shakeout itself as a more aggressive entry and the test of the shakeout as a more conservative entry.

- ❖ **VAH/VAL.** Taking into account the Volume Profile trading levels we will also be in a position to look for reversal over the extremes of the value area, which will sometimes coincide with the extremes of the structure. Range trading.

INSIDE THE RANGE

Always taking into account that we should be in favor of a High Volume Node and with enough distance we will wait for the price over:

- **LVN.** Low Volume Nodes by their very nature establish excellent areas over which to look for potential opportunities. In

this context the ideal will be to identify such areas through a profile that covers the entire range.

- **VWAP and VPOC.** Either that of the current session for more intraday traders or that of a profile covering several of them for structure traders. These are the levels that determine the control of the market so we will wait for the price to produce the effective break above them and we will look for the first entry to test them.

Sometimes the price after producing such a break will not leave any test and the momentum will quickly move the price so that a more aggressive entry would occur after producing the movement of intentionality that breaks these levels.

IN TREND INTERACTING WITH THE VALUE ZONE

After the beginning of the imbalance and having already evaluated the possibility of continuity of the movement we will wait for a pullback to assess the entry on:

- ❖ **Level of the broken structure.** For the structure trader this is another of Wyckoff's classic entries: Entry to the test after a breakout. Initially we will wait for the price in the area of the broken Creek/Ice, which by its very nature will be a Low Volume Node. Out of the corner of our eye we will also be watching the nearby trading levels so as not to rule out entry in case the price goes for any of these, mainly the extreme of the value area.

- ❖ **Extremes of the value area.** The intraday trader or one who simply does not operate taking into account structures could value the entry after leaving a certain value area (for example that of the current session) and wait for the price to test the extremes of its Value Area to enter. Continuation trading.
- ❖ **VPOC of the range.** It will be the last trading level above which to wait for the pullback after the breakout. If it is far away from the broken end, it is advisable to put the scenario in quarantine because at that point the price will have re-entered the value area and will already have some depth. In this case and under the trading principles of Volume Profile it would be necessary to activate the type of failed reversal trading that manages to recover the end of the value area.

IN TREND AWAY FROM THE VALUE AREA

Context of imbalance so we will already have in favor a HVN (accumulation/distribution).

We should expect some pullback at any trading level that the price is at. If the first level is too close, it is likely that it will look for the next one to develop a pullback with some proportionality in relation to the previous momentum.

- ❖ **Levels of the previous session profile.** Generally, and due to the fact that we are in a trend context, the levels that the price will find before will correspond to those of the previous session (Value Area, VWAP and VPOC extremes). As the day unfolds,

we may also raise some scenario on the levels of the current session.

- ❖ **Weekly VWAP.** We will always be very attentive to the location of the weekly VWAP as it is especially useful in these trend contexts to look for the end of the pullback and the beginning of a new impulsive movement.
- ❖ **VPOC of the previous impulse.** In addition, we can pull a fixed profile of the last impulse of the price and have located the location of its VPOC, as we already know that it is also a very interesting area on which to wait for the price.
- ❖ **LVN.** It is interesting to identify the low volume zones within the context we are trading. In this case we can use different profiles: composite to identify the general context; profile of the previous momentum and profile of previous sessions.

For all contexts we will want to trade in favor of the more trading levels the better. It is interesting to point out that the zones of confluence of trading levels are highly recommended to look for entries above them, highlighting the combination of VPOC and VWAP.

7.3 SCENARIO PLANNING

Once we have the context clear, we know the type of strategy we are going to try to execute and we have identified the location on which to wait for the entry trigger, it is time to set the scenario.

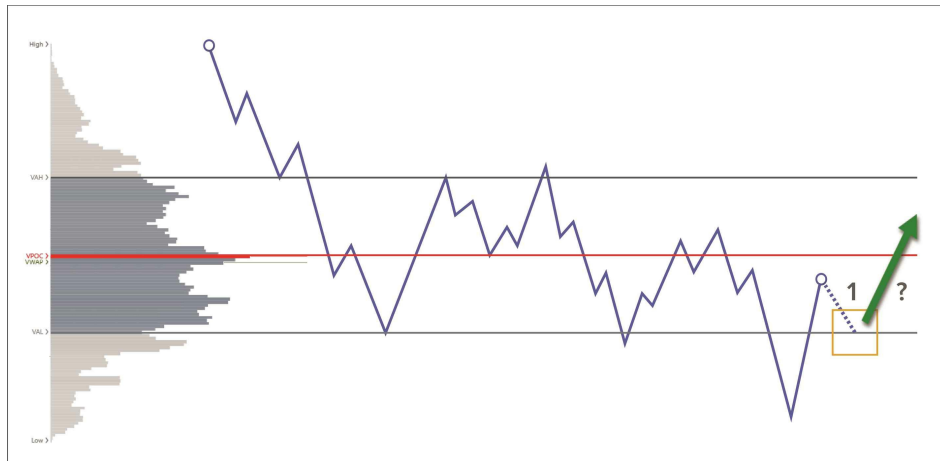
Normally the scenario to look for the entry trigger is going to be composed of one or two moves:

ONE MOVE

The price will already be positioned in favor of our idea and therefore we should only wait for a simple action that will take the price towards the trading area.

If based on the context what we want is to buy, we will identify the trading levels we have below where the price is likely to go.

If, on the other hand, once the analysis of the context is done, we determine that the best option is to trade short, we will identify the most immediate trading levels above which to look for the short entry trigger.



In this example we see that we are in a range context and in a situation of potential Spring, so the scenario approach would be to wait for a single movement to develop the test and look for the trigger of entry in purchase.

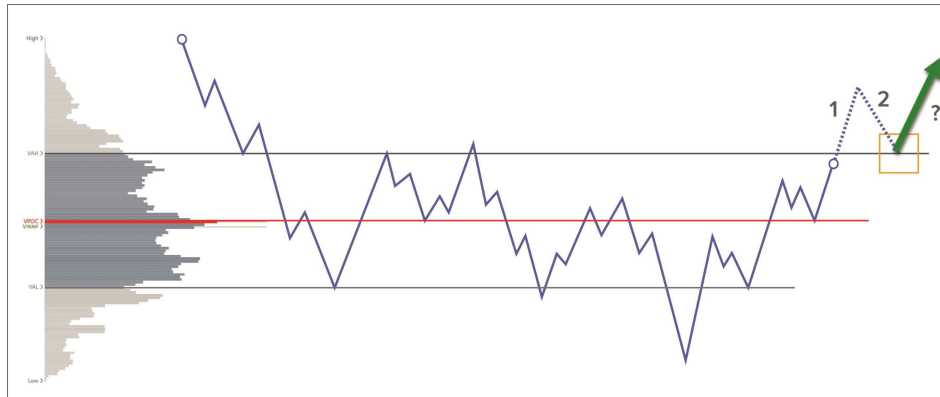
Two MOVES

We may only want to buy or sell if certain price action occurs.

If, based on the analysis of the context, we want to buy, but the price is below the trading zone, we should wait for a first positioning move above this zone and a second test move. Now we would be in a position to look for the entry trigger.

The same would happen if we want to sell but the price is above the trading zone; in this case we should wait for a first movement of recovery of the zone and a second test movement.

In this other example the reading we make is that we are in a range context in which the price comes from developing a potential Spring and has serious possibilities that it is a cumulative range.



At that precise moment and knowing the roadmap offered by the methodology we would be ready to wait for the entry in purchase after seeing the bullish breakout (1) plus the subsequent test (2). For context we want to buy but the price is not in an operationally attractive area (as it is going to face the key area) so it is appropriate to propose a two-move scenario.

As we know, the price could leave in 1 an Upthrust and re-enter the price back to the balancing zone, but initially we should be directionally biased to the upside after seeing that the downthrust and the breakout bullish movement meet the characteristics.

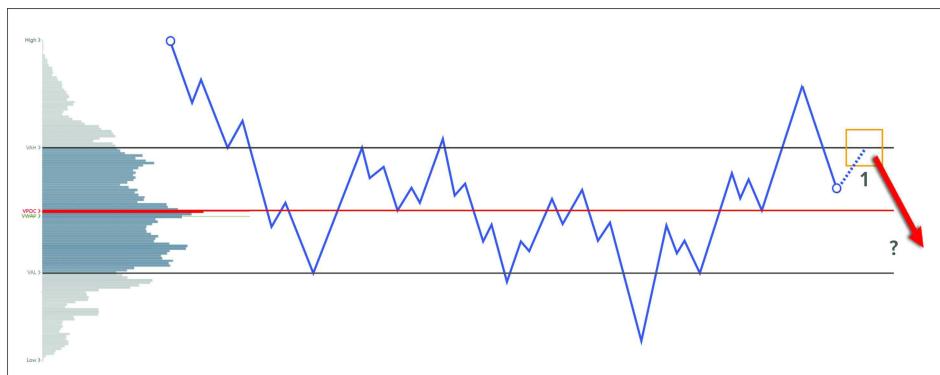
The market obviously will not always follow our approach. A large number of occasions we will see how we are forced to change sentiment based on what the price is doing. This is the key to continually analyzing the reaction of participants as new information comes into the market.

The best way to approach this scenario-building process is through

a continuous validation protocol. This is about actively reacting to what the market does (If X, then maybe Y). This means "If the price does this, then let's expect that". It is an optimal approach to know at all times what to expect the price to do and be prepared to act with the alacrity required.

*“If price breaks Creek, **then** I'm going to wait for it to test to look for buys. If on the other hand there is a failed breakout, **then** I'm going to wait for a test in the opposite direction to enter short”*

The key here is to assess all the possible options that the market can develop and, even if we are initially directionally biased to one side, we should always also take into account an alternative scenario in the opposite direction that allows us to make a quick change of bias if necessary.



An example is when the market faces the top of a structure. We are in an trading zone, in a situation of potential bullish breakout or shakeout. It may be that by context we are directionally biased to favor the bullish breakout and that we are therefore looking for purchases to test the breakout; but when the time comes what we observe is that the price re-enters the range, strongly refusing to rise and leaves what looks like a bullish jerk (Upthrust). At that point we should have enough capacity to read this in real time and change the scenario approach to look for the short.

7.4 TRADING MANAGEMENT

While it is true that the most important element of this combination is undoubtedly all that the Wyckoff methodology offers us, we have already seen that the Volume Profile and Order Flow tools can certainly be useful when it comes to improving our scenario and trading approaches.

Thanks to the principles of the Wyckoff methodology, we will be in a position to set up scenarios; thanks to the identification of the zones and trading levels by Volume Profile we will be able to refine with greater accuracy where the price is most likely to go; and thanks to the precision of Order Flow it will allow us to further confirm and calibrate the entry trigger.

7.4.1 ENTRY

Regardless of the trading context, the market entry trigger will always be an action that denotes intentionality on the part of the large trader in favor of our direction.

For pure price action analysis we will continue to work with the significant candlesticks:

- ❖ Sign of Strength bar (SOSbar). Wide range bullish candlestick with close in the upper third and relatively high volume.
- ❖ Sign of Weakness bar (SOWbar). Wide range bearish candlestick with close in the lower third and relatively high volume.

For those who want to observe the Order Flow I would only recommend working with the concepts already explained:

- ❖ Turning pattern: absorptions and initiatives.
- ❖ Continuation pattern: controls and tests.

In essence what we would look for in the turning pattern would be to confirm that the SOS/SOWbar carries initiative; and in case of losing the initial trigger we could look for a re-entry in the continuation pattern.



ENTRY ORDER

As we saw in the section on order types, participants can enter the market in different ways, basically with Market, Stop or Limit orders.

In our case we are going to use Stop orders. Remember that these are placed above the current price if we want to buy; and below the current price if we want to sell.

With the development of the significant candle we have an obvious sign of interest, but it is interesting to use Stop orders as a definitive filter that suggests some continuity in the movement initiated with the trigger candle.

Sometimes we will see the development of what initially looks like a candle of intentionality and just after its closing the price reverses sharply in the opposite direction. What has happened is that internally a takeover process has taken place at all these price levels and traders with greater capacity were positioning themselves on the opposite side. By using this type of order, although it is true that we are not saved from this potential situation, in many occasions where this is happening, it will prevent us from entering the market.

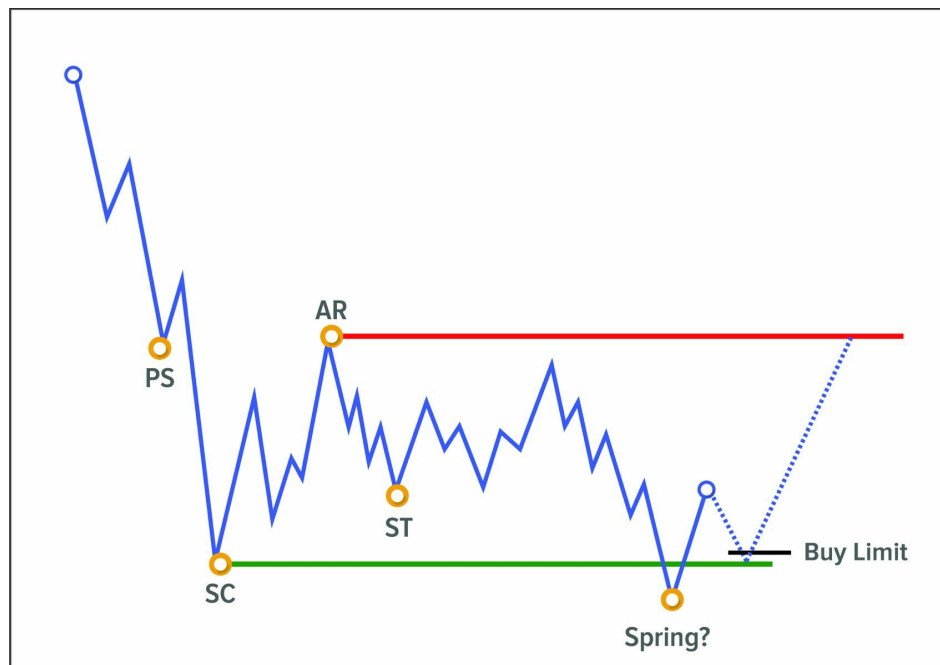
If we are really facing an imbalanced movement, this will have a strong momentum where it will continue to push in favor of that direction. With this type of limit order we will be entering in favor of the momentum, of the imbalance.

In any case this section should be evaluated more in depth by the trader. It may be preferable to enter with a market order after the closing of the trigger candle, after seeing an aggression in the track without waiting for the closing of the candle or even use a limit order to enter on a

possible pullback. Either option could be valid.

WHY YOU SHOULD NOT ENTER WITH LIMIT ORDERS

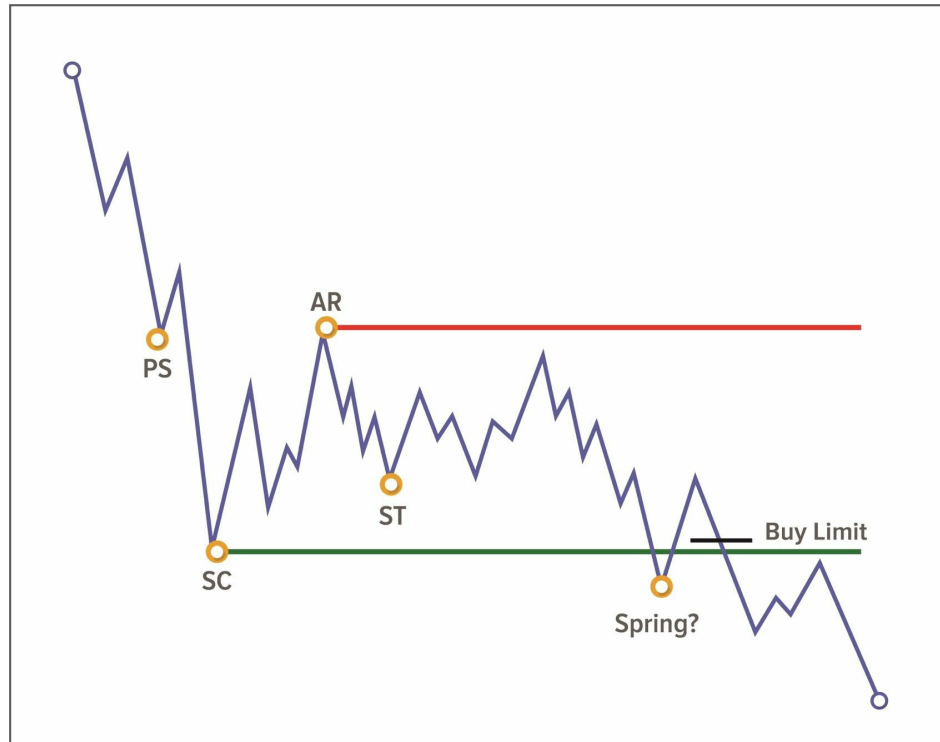
Simply because you would be betting that the move you expect is going to happen, and if you remember, we are dealing in an environment of total uncertainty so we don't know what is going to happen.



For example, you might see a chart in a potential Spring situation. If the analysis is correct, we know that the roadmap offered by the methodology goes through the search for at least the top of the structure; so maybe you think it is a good option to place a Buy Limit entry order waiting for the Spring test to develop.

But such a test may never take place and instead the price will continue to fall, confirming that our analysis was not correct, which

would cause us to add a loss. The problem is not in taking that loss, since it is part of the business, but rather that the basic approach was not the most solid.



At the point where you see the Spring potential and place the Buy Limit, you are betting that the price will develop two movements: the bearish movement to generate the test and the bullish one that will take the price to the top of the range. And the key is that we can only propose the development of one movement.

In this case, we could initially propose the bearish movement as a test since we are in a potential Spring position; and once the price reaches the area where it "should" turn, we have to analyze again the price action and the volume to see if the imbalance that generates the bullish turn occurs and then we can propose the next bullish movement up to the Creek.

The underlying idea is that we must make a continuous analysis of the interaction between buyers and sellers; and even if we are directionally biased to one side based on the context, we must confirm when the time comes that the approach is solid and that the market itself confirms it.

If in a potential Spring test position we see that aggressive buyers appear and push the price up, this is the footprint we would need to see to confirm that our analysis appears to be correct and in such a case would offer us an trading opportunity. It should also be remembered that seeing our entry trigger above the proposed zone has nothing to do with whether that trade then turns out in profit or loss. As we have already seen, new information is constantly entering the market and this could change participants' perception of the security at any time.

7.4.2 STOP LOSS

From a pure Wyckoff methodology point of view we will continue to recommend placing the stop loss on the other side of the significant candlesticks (SOS/SOW bar) and structures. The logic is that if large traders have actively entered these developments they will defend their position in case the price goes against them.

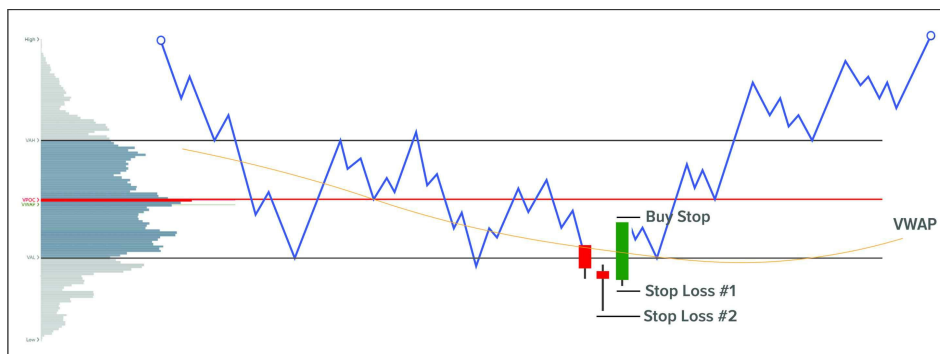
Additionally, we will always want to place the stop loss on the other side of the more levels and trading zones the better.

The first zone we will be looking for will be a low volume node (LVN). As we have already mentioned, by its very nature this low trading

zone is likely to act as a rejection and that is exactly what we are looking for: that in case the price reaches this zone it will cause a V-turn and that this rejection will protect our position.

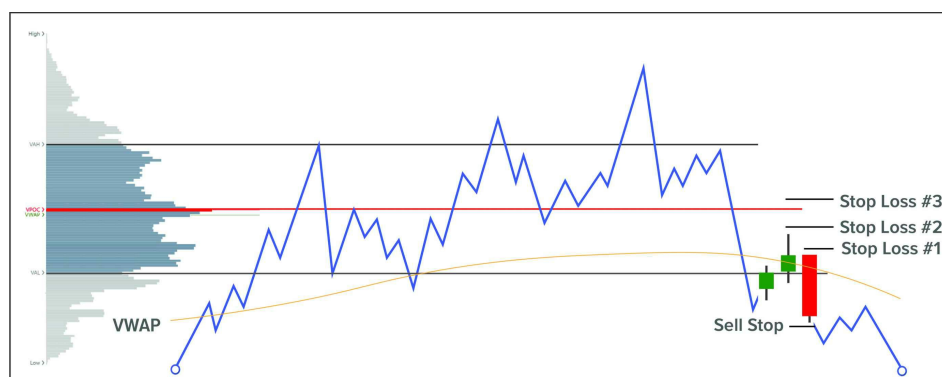
It must be taken into account that the other way of representing the rejection is that the price quickly crosses those price levels. If so, it would surely reach and execute our protective stop. As we do not know what may happen, we must necessarily use this type of zone with the initial premise that the type of rejection it represents in a possible future visit is that of the V-turn.

The logic of using the rest of the operating levels protecting the position basically lies in the fact that a high amount of volume will be traded on them and could also act as levers that cause a turn in the price. Some might think that if these levels act as magnets due to the liquidity that is located on them, why use them to protect the position? If we are bought and we have them below, based on the principle that they act as magnets, wouldn't it be logical to think that the price will go looking for them? The logic here is that at the moment of entry we are working in favor of a price imbalance looking for its continuity. And therefore it is the moment when the price will move away from such levels that generally represent equilibrium and acceptance by all. If at the moment of truth the imbalance is not such, we still have the possibility of saving the position if at these levels participants that turn the market re-enter.



If we are in a potential Spring situation and we see the appearance of a SOSbar, we would be in a position to enter the market with a Buy Stop order at the breakout above the candle leaving the Stop Loss location either below the trigger candle itself (#1) or below the entire structure (#2).

At either of these two points the Stop Loss would be protected first by the imbalances generated in the trigger candle; by any VWAP that has been generated, and by the Value Area Low of the structure's profile which in essence is the Low Volume Node.



In this bearish example, if the SOWbar appears offering us the short entry trigger, we would place the Sell Stop order below its low and we would also have several locations for the Stop Loss: just above its high (#1), at the highest high generated in the turn (#2) and on the other side of the VPOC of the profile (#3).

We would be protected by the candle itself, by some VWAP and by the Value Area Low of the profile that besides being a Low Volume Node in this case coincides as the ICE (support) of the structure.

It would be necessary to make a point with respect to the VPOC of the profile. In this example we have it a little further away but it is still a relevant level to take into account. The trader should analyze if placing the stop at that level would still have an acceptable Risk:Reward ratio.

This is one of the peculiarities of discretionary approaches and that is that we must adapt to market behavior. Sometimes all the levels will converge in a very narrow range giving us greater confidence; while other times they will certainly be separated and we must evaluate which location is more optimal and if the risk is worth it.

7.4.3 TAKE PROFIT

In my first book "The Wyckoff Methodology in Depth" I already listed the possible actions we could use to make profits. We mainly talked about:

1. Climatic bar evidence. Especially useful when we do not have any reference to the left of the chart.
2. After the development of the Phase A stop of the previous trend movement.
3. In liquidity zones generated by relevant price turns (previous highs and lows).

Thanks to the addition of the Volume Profile we can add a new objective way even more useful when we have price trading in the direction where we want to take profits:

IN AREAS OF HIGH PREVIOUS TRADING

It is about using the High Volume Nodes that we have in the direction of the trade. We already know the magnetic nature of such areas and it is therefore that they provide us with some confidence to use them as targets.

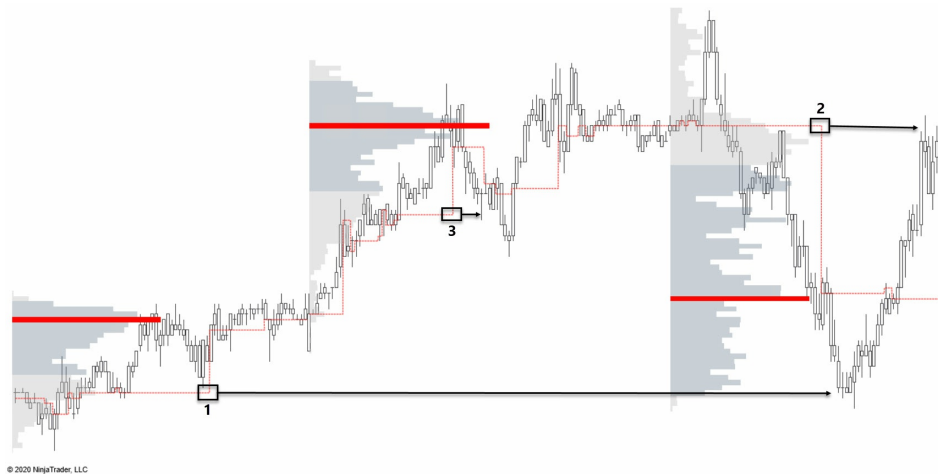
Supported by the auction theory, after an imbalance the market will look to find traders with the opposite bias who are willing to trade again. This is why the price will move to those areas where there was previously high trading as the same thing is expected to happen again.

Very important to remember again the short term mentality of the market where the last trading areas will have a higher relevance in terms of price attraction than the older areas.

The concept of High Volume Node when setting the target could be somewhat ambiguous. The HVN is an area, and the order to take profit is a specific price level, Where exactly to place it? For this purpose it is very interesting to take into account the VPOC of that particular value zone. The HVN serves us to identify the probable price visit zone and its VPOC for the exact location of the target.

For a more intraday trading it can be extremely useful to have identified the **Developing Volume Point of Control (DVPOC)**. These are

price levels that were at one point in time the VPOC for a session, whether or not they were the final VPOC for that session. As we know, the VPOC of the session is changing based on the negotiations that take place, and this level represents that footprint of change. In short, what we are dealing with is a level of high trading and therefore most likely to have some magnetic behavior.



In this example we see how the price distributes in this profile in the form of P and the bearish development is going to look for an old DVPOC below (1) to turn back from there in the form of V to go to test again another DVPOC of the current session above (2).

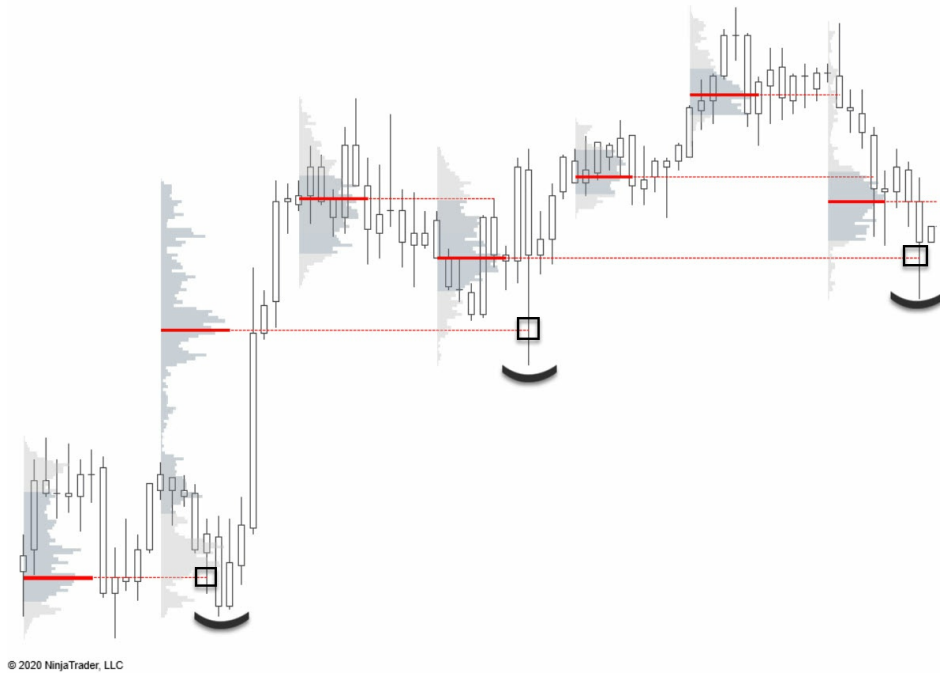
It should be noted that we only take into account those DVPOCs that have not been tested. In this example we see other DVPOCs that have already been tested and therefore would not be valid for target setting, as would be case 3.

The same would be true for **naked VPOCs**. We have not discussed this level before because its usefulness is focused almost exclusively as a possible target level. Naked VPOCs are VPOCs from previous sessions that have not been tested. Unlike DVPOCs, naked VPOCs were the final VPOC of the session. There are statistics that claim that VPOCs from

previous sessions are tested in the following days with a high probability. That is why they are very interesting to take into account.

In the following example we see the magnetism exerted by these levels attracting the price and even generating a subsequent turn.

In both charts different configurations have been used to visualize specifically one or the other level (DVPOC and nakedVPOC). It is recommended to use both since by their very nature they both represent previous high trading zones.



7.4.4 WHAT TO DO WHEN THE PRICE GOES WITHOUT US?

Sometimes we will have to see how even having made a good scenario approach the price initiates the movement we were looking for without us, having had the possibility of entering the market.

If there is something that is not recommended is to enter by momentum guided by some kind of negative sentiment to have lost the movement. Entering in desperation is generally not a good strategy in the long run. If the price goes without us absolutely nothing happens, it is part of the game just like stop loss jumps. If the underlying idea has not changed, we can continue to look for entry in new trading zones.

It is much more interesting to make another type of constructive reading in this situation, such as that **you have made a good analysis.**

While it is true that we approach the market with the ultimate goal of obtaining profitability from its movements, the fact of being right in the analysis should already be a reason to be certainly satisfied.

The reading is that your analysis of who was in control of the market and what was the most likely move was good and this is tremendously important as an example that ultimately the knowledge is internalized and that by following that line it is a matter of time before the results appear.

The only thing that has failed is either the exact visit to the area where you expected the price to be; or that the price has not left a genuine trigger to generate the sending of the orders. In any case, it is necessary to remember that we have absolutely no control over the market and that our task is to set up scenarios with the highest possible probability.

Also, we must also keep in mind that, having as one of the main rules the conservation of capital, you may not have taken advantage of the

movement you expected but at least you were not positioned on the wrong side of the market and therefore you do not add any losses.

PART 8. CASE STUDIES

In this last part we are going to see in detail some real examples where the theoretical concepts previously presented are put into practice.

As I always comment, the really interesting thing about this type of examples is to observe how the market tends to present the same schemes but in different ways depending on the moment. This is what we are referring to when we state that the market must be given "flexibility" in the development of structures.

This is something that, by now, you should have internalized. The Wyckoff methodology is not about labeling almost robotically every move. It doesn't make any sense and we have already explained why. It is about analyzing as objectively as possible the actions of the market (both what it does and what it fails to do) in order to give more control to buyers or sellers.

Also, this section will be useful to see how the Volume Profile and Order Flow readings are incorporated into the trading plan.

8.1 EURO/DOLLAR (\$6E)CURRENCY CROSS

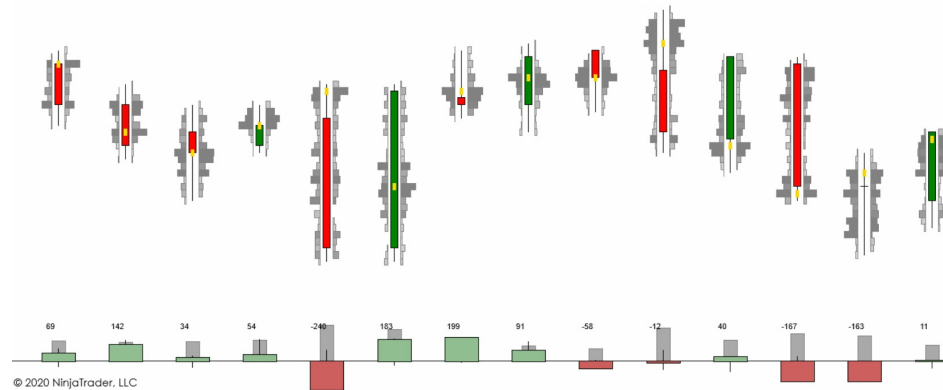
Chart on July 2, 3 and 6, 2020. Range context, extreme trading; plus trend context, trading away from the value zone.



This example is very representative of almost everything studied as it is full of interesting details.

First we see the stop of the bearish movement (SC, AR, ST) starting from there a new lateralization or equilibrium context. The UA already suggests to us in Phase B buying intentionality by testing the highs of the structure. Maximums of the structure whose nature is a LVN (Low Volume Node) as reflected in the profile of the first day. LVN that

repeatedly acts as a rejection zone causing the price to turn until it finally crosses it with speed. The Spring plus its test initiates the bullish imbalance moving the market higher with relative ease.



Looking deeply at this potential Spring action on the footprint chart, we see how the pattern of a turn in favor of the buyers is represented by the rotation on the Delta (-240 to +183). In this first action it should be noted that the bearish candle does not show a clear process of potential takeover, as we suggest looking for; but this is the reality of the market. We will not always see theoretical patterns represented in the same way and the case is perfect to exemplify the need to give flexibility to the market and be prepared for anything.

Beyond not having seen this potential takeover process, the objective is that after a wide range bearish candle and high volume the price does not have continuity and turns with the same aggressiveness to the upside (divergence effort/result).

Very clear the following action presented as a continuation pattern with the creation of the control plus the test. The control would be reflected by the maximum trading zone within the bullish candlestick. We see how the price is going to develop the test right at that zone to continue the imbalance upwards from there.

In addition to the price dynamics discussed within the range, we can also observe other signals in the volume such as the decrease throughout its development, the appearance of a greater presence of buying Weis; as well as the reading of a finished auction that we can make of the profile of day 3. That the volume represents a potential finished auction in confluence with a potential Spring is a very interesting signal to assume as a lack of interest to continue falling.

Another very striking point of interest are the continuations that occur once the price is away from the value zone and in an uptrend context. Here the concept of VPOC migration appears to support possible entries. We see how after the migrations the price continues its bullish development (C1 and C2) almost immediately. This is a very useful input for this type of context. In the third continuation (C3) the market is going to visit one of the most important trading levels, the weekly VWAP, to develop a new upward momentum from there.

Regarding the targets, the first one (tp1) to take into account would be that former high trading zone (High Volume Node) which also left a DevelopingVPOC. And without further volume references to the left, subsequent targets would be to identify liquidity zones as relevant previous highs (tp2).

8.2 POUND/DOLLAR (\$6B) CURRENCY CROSS

Trading profile chart week on June 29 to July 3, 2020. Range context, trading inside; plus trend context, trading interacting with the value zone.



In this case, the operating profile has been used as the one set by the volume traded during the previous week. As already mentioned, there is no one profile better than another and it is therefore up to the trader to choose the trading style he/she wants to develop. The important thing is that the profile you decide to work with is completed to avoid confusion when the current levels are modified.

In the first red box we would be in a trading position waiting for our entry trigger. We are inside the value area but interacting just above the VPOC of the profile, so our bias at that point, being above that VPOC, should be to favor bullish continuation.

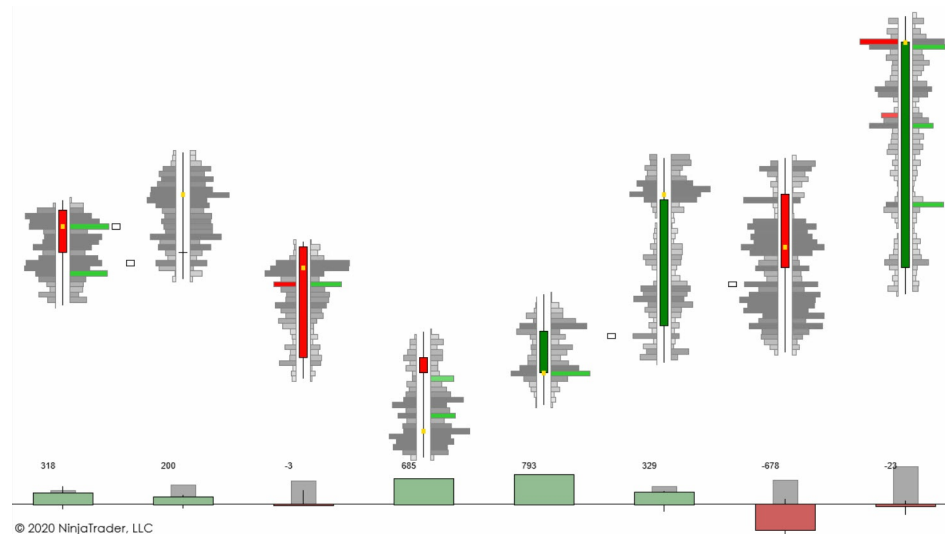
The price develops a lower structure and in Spring potential position coincides with a test at the operating level. From there it generates a first upward imbalance that causes the break of the profile by its upper part. Very visual how the bullish Weis stands out signaling that high participation in the breakout movement; and how the following action denotes lack of interest in the movement.

Just at that precise moment, at the end of the breakout movement, the trader handling the tools proposed in this methodology should necessarily be favoring bullish continuation. Basically because we come from observing a minor accumulation structure that has managed to break to the upside suggesting us therefore that the control is apparently on the side of the buyers.

As suggested in the trading checklist, we already have the first point resolved which is: what we want to do, whether to buy or sell. In this case and as we have just argued, we want to favor buying. Now we would need to answer point number two of the checklist, which is: where we are going to want to buy. is: where are we going to want to buy. We need to identify the level where we are going to be waiting for the price. In this example we have a very important confluence zone: the Value Area High of the broken weekly profile, the weekly VWAP (green line) and the upper end of the previous accumulation structure (Creek).

The identification of the second point of the checklist leads us immediately to the third, which is the scenario approach. In this case, as

we are already in favor of the trading level, we would be waiting for a single move for the price to position itself in our trading zone.



Once the price has arrived there, we would finally have to wait for the development of our entry trigger, which is part of step four of the checklist. In this example we have used the Footprint to visualize the order flow and it has allowed us to see the entry of aggressive buyers represented on these two candlesticks with positive delta of 685 and 793 that have also left imbalances in the ASK column. We would already have our checklist completed and therefore ready to send the orders to enter the market.

The recommended position management would be to place a buy stop order at the breakout of the bullish candle, with the stop loss at the low of the bearish candle. Returning to the previous chart, we would need to identify an interesting trading level on which to take profits or, failing that, a previous high that establishes a clear liquidity zone. In this case, further to the left we would have identified an old VPOC not yet tested (nakedVPOC).

8.3 S&P500 (\$ES) INDEX

Chart on July 17, 2020. Range context, trading inside. Beginning of bullish reversal.



In this first 15 minutes timeframe chart we have the exit of the price below the value area of the previous day to begin to develop in that area a new range.

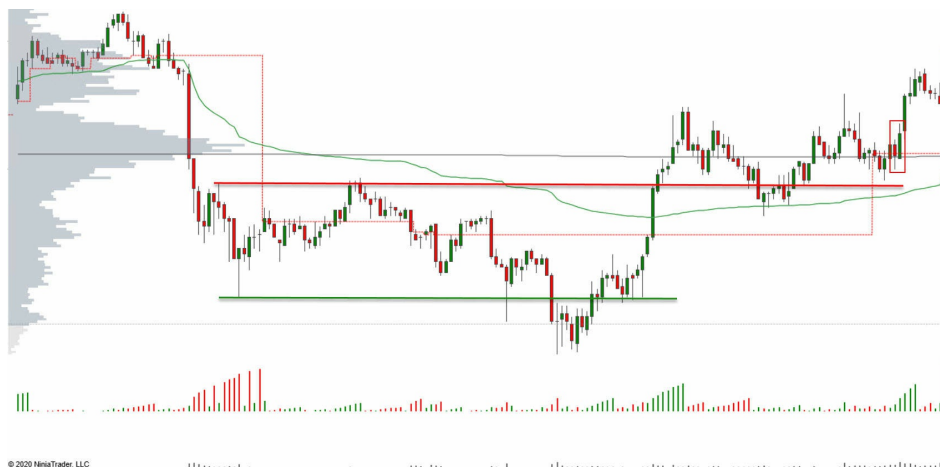
Initially and favoring the trading principle of bearish continuity, unless a longer term context would have biased us differently we should have been willing to favor short entry in a potential test to the Value Area Low of the previous session's profile.

Instead, what we see is that the price manages to re-enter the Value Area Low and does so preceded by a jolt to the lows that triggers the bullish movement. Here we can see the importance of handling different scenarios depending on how the price behaves and of making a continuous evaluation of the movements.

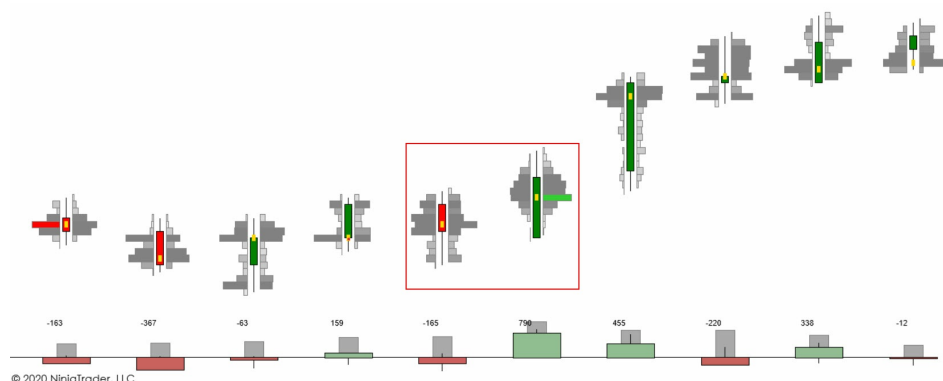
If we look closely at the chart, after re-entering the Value Area the price pulls back to test the area where the VWAPs converge. Maybe that test, because it was slightly below the VAL would not have given us all the confidence to trade it as a buy; but the opportunity appears next when the price recovers the VA and now it does leave a test inside.

In the following chart of shorter time frame (5 minutes) we see in more detail this action. Here the structure under Wyckoff methodology is more recognizable. Although the stop of the bearish movement is not very genuine, we see some lateralization and the Spring plus test that originate the bullish breakout. Once again, the visualization of the Weis wave indicator is very useful, suggesting the institutional support of the movement. After the breakout, we do not re-enter the range accepting these levels.

At the moment when we are in a situation of potential BUEC to provoke the bullish imbalance, we are already waiting for the appearance of our entry trigger that allows us to launch orders to buy.



It is therefore time to, if anything, begin to visualize the Footprint chart in search of that turning pattern that alerts us of the imbalance in favor of speculators who are opening positions to buy.



This is exactly what we see represented in the box shown. Beyond the fact that the potential takeover is visual, the imbalance that is reflected in this bullish candle, with a relatively higher volume than average and with a very positive delta comparatively speaking, has a greater relevance. After seeing this, it would undoubtedly be time to send the buy order.

As a target we would first have the opposite end of the value area, in this case the Value Area High, a level that also converges as seen in the second chart with a former VPOC area.

8.4 AMERICAN DOLLAR/CANADIAN DOLLAR CURRENCY CROSS (\$6C)

Chart of July 22, 2020. Range context, trading at extremes.



The price starts the session the next day within the previous day's value area, where it begins to sideways suggesting to us a total balance between buyers and sellers. The valuations of the agents that are operating at that moment are very similar, which causes a continuous rotation around the central zone.

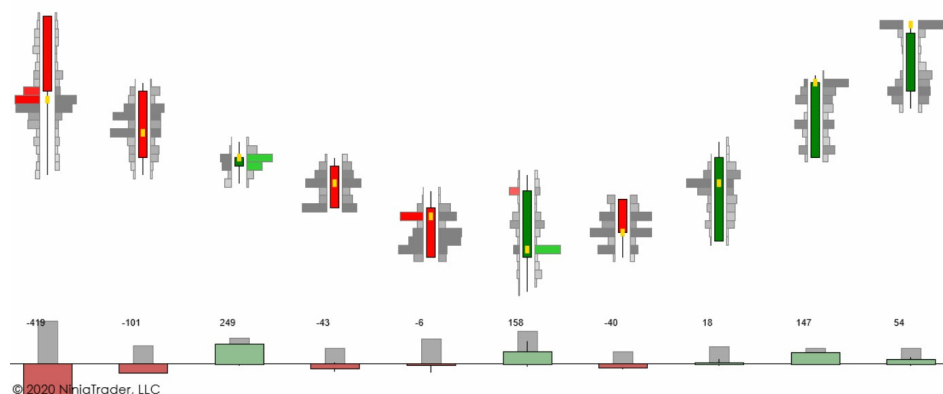
With this basic context; and under the hypothesis that the market continues in this state of equilibrium, that no new information arrives that causes the participants to change their valuations, the operative principle

to work on is to look for the reversion at the extremes; that is to say, to look for purchases when the price interacts with the low part of the value (Value Area Low) and sales on the high part (Value Area High).

We are therefore ready to set up the scenarios. We know what we want to do (buy or sell) and we know the exact location where we will wait for the price to look for the entry trigger. This means having a plan and not following the price reactively and by momentum.

As you can see on the chart, the price is finally going to visit the bottom of the value zone. It performs a very precise test and from there it launches towards the opposite extreme. This movement could be labeled within the Wyckoff methodology events as a potential Spring since it would be found shaking the lows of that small structure that has been generated during the two days.

At that precise moment it may be useful to visualize the order flow chart to confirm or not our buy entry trigger. We are in the right location and; as we know that the price could extend a little longer before turning, or even continue the bearish development, we need to see the aggressive buy entry above that area to determine the possible start of the imbalance to the upside



And right at the location of the potential Spring we see the

appearance of that imbalance on the ASK column, which could suggest speculative buying entry. This would be the signal we are looking for before proceeding to send orders.

As we can see, the price then launches towards the opposite extreme, crossing the entire value area. This is an example of trading under the 80% Market Profile principle. Principle that suggests that; in case the price tries to break a value area and fails, re-entering again, the price has an 80% chance of reaching the opposite end of the value area. Although this strategy was originated for Market Profile, the same principle can be used working with Volume Profile due to the similarities of their theories.

The profit taking in this case would therefore be very clear: by testing the Value Area High of the trading profile. If the price reaches this point, the situation would be very interesting because we would be coming from a potential Spring; which, as we all know, is the event that unbalances the control of the upward structure. Therefore, if we are right in the analysis, it would still have to develop at least one more upward movement.

That would be the roadmap we would be driving, but certainly that test to the VAH is our first management zone. Here you could decide to close the entire position or leave some contract, but what we should do at least is to protect the position; that is, move the stop loss to the entry level (known as Breakeven)

8.5 POUND/DOLLAR (\$6B) CURRENCY CROSS

August 03, 2020. Trend context, trading interacting with the value zone.



Example of intraday trading favoring the shorter term context, in this case, using as trading profile the one of the previous session.

The fact that we use profiles of previous sessions as a framework on which to base our trading does not mean that the principles of the Wyckoff methodology are left aside. As we can see, it is essentially the same; the only difference is in the time frame used.

Any Wyckoff trader with some experience could identify a

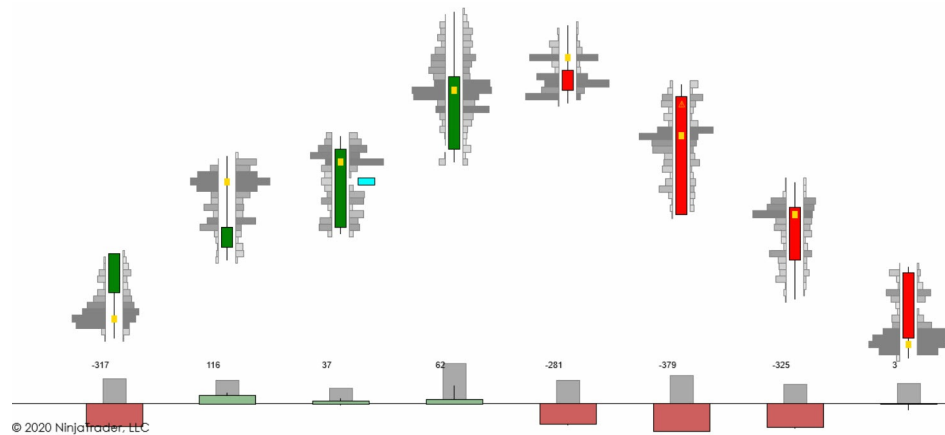
structure and label all the events that the methodology teaches us within that profile. Moreover, by the time it is pointed out as the zone where to look for the entry trigger, the most astute analysts will have already been able to identify a new structure. This is what is important, the context, what you are going to favor (buy or sell) based on what the price does.

In this example, having seen that we are coming from a distributional structure, we will initially be favoring shorting. The next step would be to identify at what point we are going to wait for the price to proceed in search of the trigger. Here, the first interesting zone is the Value Area Low of the profile.

During the current day the market begins to lateralize creating new value in this area. This is a signal of acceptance of the previous distribution, so we can add one more input in favor of our bearish scenario.

Once the price is in the proposed trading zone, we have an important confluence of events since on the one hand we would be developing a test to the old broken value zone; and also this movement could be part of a shakeout of this new structure that would be forming

It would be the ideal time to go and analyze the Order Flow chart and see what is happening inside the candlesticks and if in the shorter term our entry trigger is confirmed.



And right in that location what we see is this, a bearish turn with a lot of selling aggressiveness. Already in the last bullish candle we can suggest some takeover of purchases evidenced by the high volume, the large number of executions taking place in the ASK column and the no bullish continuation reflected in the upper wick.

Following this, a large sell participation evidenced mainly by the large negative delta suggests a sell initiative and the possible beginning of the bearish imbalance. The next bearish candlestick would serve as a definitive confirmation of seller control: wide range candlestick, with good volume and closing at lows, what we know by Wyckoff methodology as SOWbar (Sign of Weakness Bar).

These examples are very instructive to see the infinite ways in which the same action, as in this case is the bearish turn, can appear on the chart. Sometimes it will be very clear both the takeover and the initiative process; and other times it will not be so. Given that we are in a particular trading area and that we have the support of the context, it would be more interesting to prioritize the appearance of the initiative in favor of the direction we expect the market to move over visualizing the previous takeover process, since as we see it does not always appear in the most genuine way.

Unlike the takeover process, the initiative would be an indispensable action (for traders who decide to analyze the order flow), since ultimately we are waiting for those speculators to appear to definitely unbalance the control.

Finally, in this trading possible Take Profit would be located at that old level that was VPOC and that by its very nature represents a high trading area even in the short term.

8.6 EURO/DOLLAR CURRENCY CROSS (\$6E)

Day August 31, 2020. Range context, trading inside. Principle of failed reversal.



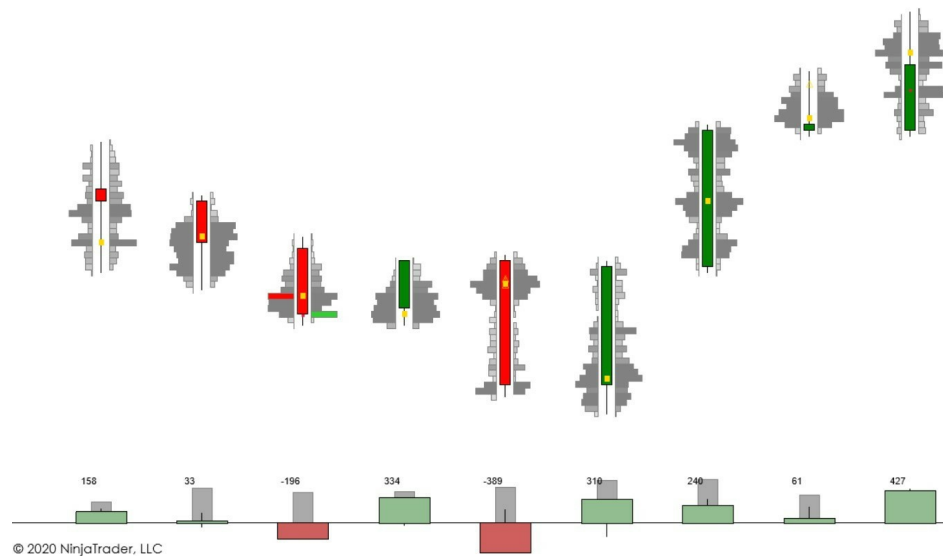
This type of trading usually presents major confidence issues because we initially come from prioritizing the reversal scenario and then change bias.

Also using the previous day's profile as a trading basis, we see that on the last day the price tries to leave this value zone through its upper part causing a rejection and re-entering the range. At that point we begin to look for the short entry favoring the reversal principle.

The failed reversal is a perfect example of why trading levels should be used to manage the position as the price interacts with them. They are decisive zones and we do not know what will happen, therefore the only thing under our control is to minimize the risk of our trading.

If just above the identified trading zone we see a reversal like the one seen in the footprint chart, at least two decisions could be made in time. First, if we are positioned short, we may want to close the position and avoid touching the Stop Loss even if it is already in a Breakeven position. This type of active management, at times like this, is very important as it will allow us to further reduce the risk by being able to take a few more points off the market. On the other hand, if the longer-term context accompanies, you may want to enter into a purchase favoring this principle of failed reversal.

In case of considering a purchase, there is an interesting detail to take into account. As the entry trigger is below the weekly VWAP, it could be a good option to make such a trade with a lower leverage, for example, in a CFD market. This is a perfect example to evaluate the possibility of trading the same asset in different markets depending on the confidence we have in the trade in question. If we find ourselves in a situation like this in which we observe such elements against the proposed scenario, the most advisable thing to do would be advisable not to trade in a leveraged market such as the futures market; and on the contrary, to go to a market that offers a less leveraged type of trading such as CFDs.



Going further into this concept of working with different brokers and markets, it is important to remember that you do not necessarily have to pigeonhole yourself into any particular type of trading. You may want to carry out shorter-term speculative trading of the asset in question on the futures market; and this is not incompatible with proposing scenarios that cover a longer time horizon and carry out such medium-term trades using the CFDs already mentioned; and also to be able to carry out longer-term trading with spot shares or exchange-traded funds (ETFs), for example.

This is one of the benefits of the methodology, its universality. Its reading, being based on the true engine of the market, the continuous interaction between buyers and sellers, is equally valid regardless of the asset and seasonality; with the only basic requirement being that the particular asset has sufficient liquidity.

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ACKNOWLEDGEMENTS

I sincerely hope that studying this book has brought you value and will enable you to reach higher levels in your performance as a trader or investor.

The content is dense and full of nuances. It is very complicated to acquire all the knowledge with a simple reading, so I recommend that you return to make a new study as well as personal notes for a better understanding.

I would love to know your opinion about the book so I invite you to leave a rating.

As you know, I am continually doing research and sharing more information, so I invite you to write me at info@tradingwyckoff.com so I can include you in a new list and receive future content updates for free.

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ABOUT THE AUTHOR



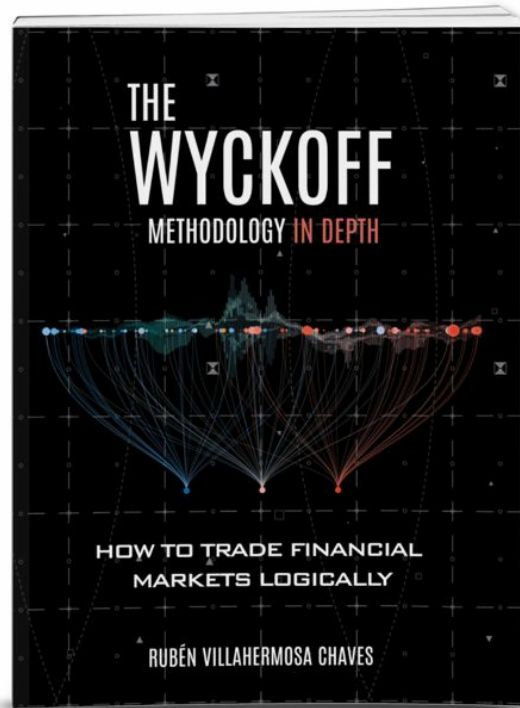
Ruben Villahermosa Chaves has been an independent analyst and trader in the financial markets since 2016.

He has extensive knowledge of technical analysis as well as development of trading strategies based on quantitative analysis.

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BOOKS BY THIS AUTHOR

[The Wyckoff Methodology in Depth](#)



The Wyckoff methodology is a technical analysis approach to trading the financial markets based on the study of the relationship between the forces of supply and demand.

The approach is simple: When large traders want to buy or sell, they carry out processes that leave their traces and that can be observed on the charts through price and volume.

The Wyckoff methodology is based on identifying this intervention of the professional to try to elucidate who has control of the market with the aim of trading with them.

What will you learn?

► **How markets move.** The market is formed by movements in waves that develop trends and cycles.

► **The 3 fundamental laws.** The only discretionary method that has an underlying logic behind it

1. The law of Supply and Demand.
2. The law of Cause and Effect.
3. The law of Effort and Result.

► **The processes of accumulation and distribution.** Development of structures that identify the action of great professionals

► **The events and phases of the Wyckoff Methodology.** The key market actions that will allow us to perform judicious analysis

► **Trading.** We combine context, structures and trading zones to position ourselves on the side of the great traders.